UPSC CSE Mains 2027 · GS Paper II

GOVERNANCE

Civil services · RTI · Corruption · Lokpal · E-governance · Civil society · CAG

Handwritten-style notes

Built from the Sarrthi IAS GS-2 Governance handouts (Modules 1-4).
Bracket trees · diagrams · mnemonics · PYQ tags · current affairs
Right column and left binding margin are kept blank for your own use.

Personal study edition · for printing

INDEX

Module 1 · Civil Services, Transparency, Accountability, Citizen's Charter, RTI

0 Start here: how to use these notes 3
1 Civil services: UPSC and SPSC 4
2 Civil services: meaning and lateral entry 6
3 All India Services 8
4 Role of civil services in a democracy 10
5 Working and performance of civil services 12
6 Bureaucracy and development 14
7 Pay, 8th CPC and right to strike 16
8 Civil services reforms and Nolan principles 17
9 Challenges to reform; Karmayogi; Aarambh 19
10 Transparency and NDSAP 21
11 Accountability 23
12 Citizen's Charter and Sevottam 25
13 RTI Act 2005 and the 2019 amendment 27
14 CIC, RTI issues, impact and 2nd ARC 29

Module 2 · Corruption, Social Audit, CBI, CVC, Lokpal, Whistleblower, PCA

15 Problem of Corruption 31
16 Tackling Corruption and Social Audit 33
17 CBI and CVC 35
18 Lokpal in India 37
19 Whistleblower Protection and PCA 1988 39

Module 3 · Governance, E-Governance, Data Protection, Emerging Tech

20 Governance and Good Governance 40
21 People's participation and local self-government reforms 43
22 E-governance: stages, models, benefits, issues 45
23 Data protection, privacy and cybersecurity 47
24 Emerging tech: blockchain, AI, deepfakes, OTT, DPI 49

Module 4 · Civil Society, NGOs, SHGs, Pressure Groups, CAG

25 Civil society and NGOs 51
26 FCRA, State regulation of NGOs, donors 54
27 Self-Help Groups 56
28 Pressure groups and lobbying 58
29 Comptroller and Auditor General of India 61

START HERE: GOVERNANCE (GS-2)

✎ *Four modules, 30 topics. Read once with a pen. Use the right column for your own current affairs and value additions. Before a test, cover the recall drill at the end of each chapter.*

Source and rule: only the Sarrthi IAS GS-2 Governance handouts (Modules 1–4). No class slides were supplied, so no teacher-ink forecast. **Mains PYQs only (2013–2026), no Prelims PYQ.** Priority: **High** = 2+ PYQs, **Medium** = 1 or partial, **Low** = none quoted.

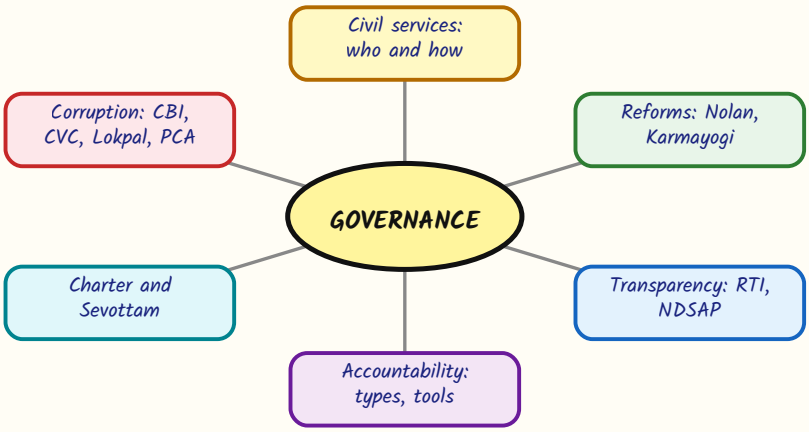
Box	Means
Pink	teacher's point / handout flag
Yellow	trap or rule for the exam hall
Green	ready conclusion
Blue dashed	definition
Navy	current affairs (verify dates)

PRIORITY MAP: what to read first

Priority	Topics (handout order)
HIGH	**8** Reforms + Nolan (2017, 2020) · **12** Citizen's Charter + Sevottam (2024, 2018, 2013) · **15** Corruption (2016, 2019, 2014) · **19** Whistleblower + PCA (2015, 2022) · **22** E-governance (8 PYQs) · **25** Civil society + NGOs (5) · **26** FCRA + donors (3) · **27** SHGs (6) · **28** Pressure groups (6) · **29** CAG (2018, 2016)
MEDIUM	**2** Lateral entry (2014) · **4** Six roles (2017) · **9** Karmayogi (2020) · **11** Accountability (2016*) · **13–14** RTI + CIC (2020) · **16** Social audit (2021, 2016*) · **17** CBI + CVC (2021*) · **18** Lokpal (2013) · **24** Emerging tech (2020*)
LOW	**1** PSCs · **3** AIS · **5** Performance · **6** Bureaucracy · **7** Pay / 8th CPC · **10** Transparency · **20** Governance and good governance · **21** Participation + local government · **23** Data protection + cyber

Lokpal: Bill → Act → body. First Bill introduced **1968**; present Bill **passed 2013** = **Lokpal and Lokayuktas Act, 2013**; Lokpal **constituted 2019**. Mark with * a partial PYQ fit.

SIX THEMES TO TIE EVERY ANSWER TO



Answer skeleton: Intro (definition or a number) → Body (one approach: roles / problems / reforms / way forward) → Way forward (a named reform: Karmayogi, Sevottam, Lokpal…) → Conclusion ("transparency first, then accountability").

⚖ PUBLIC SERVICE COMMISSIONS: UPSC & SPSC ⚖

PYQ none quoted in the material · Handout MI pp. 3-4

✎ *The Constitution set up independent recruiters for the Centre (UPSC) and the States (SPSCs). They are meant to pick the best on merit, but the shield is thinner than it looks.*

Article (Part XIV)	Provision
315	PSCs for Union and States
316	appointment and term of members
317	removal and suspension
319	bar on later office
320	functions
321	extend functions
322	expenses
323	reports

LADDER – Say it as a ladder: ***315 set up → 316 appoint → 317 remove → 319 bar → 320 functions → 321 extend → 322 expenses → 323 report*** (order kept: it is the Constitution's order). (own mnemonic)

HISTORY

1919 GoI Act: Federal PSC (provinces optional)

1924 Lee Commission recommends

1926 FPSC set up; Sir ***Ross Barker*** first chairman

1929 ***Madras***: first provincial PSC

1935 GoI Act: Federal, Provincial, Joint → Art 315

INDEPENDENCE SAFEGUARDS

Shield

→ service conditions ***cannot be cut*** after appointment
→ salaries = ***charged expenditure*** on Consolidated Fund
→ removal only as the Constitution says
→ post-retirement bar on certain government jobs
→ ***Convention:*** seniormost member becomes Chairman → ***violated in 2015***

PROBLEMS

UPSC

→ ***Advice set aside: 57 times (1950-84)*** vs ***82 (1984-88)***
→ ***Art 320(3)*** abused; influence of technical, managerial, political officials
→ no educational qualification fixed for members
→ ***Unequal status:*** one of 4 key bodies (EC, CAG, SC) yet ***no separate oath*** and ***easier removal***
→ conflict with the ***CVC***
→ ***Negative recruitment*** (screen out the unfit, not find the best); exam structure archaic

SPSCs

→ some are ***centres of corruption***
→ poor quality of members; blind copy of UPSC; like its subsidiaries
→ no formal link with UPSC

UNDONE·A — UPSC's issues: **U**nequal status · **N**o qualification · **D**eviation from advice · **O**ne-size-fits-all · **N**egative recruitment · **E**xam structure · **A**buse of 320(3) (own mnemonic)

REFORM

2nd ARC: shorten the exam

→ ***Model I:*** Prelims + Mains together over 2-3 days; Mains marked only above Prelims cut-off; then Interview

→ ***Model II:*** shortlist 2-3 × vacancies on Prelims rank; Mains within 2 months, so Mains and Interview start almost together

1st ARC on PSCs

→ one SPSC member from outside the state

→ members hold a degree

→ UPSC + SPSC chairmen consulted on SPSC members

→ ***2/3 of UPSC members*** from SPSC chairpersons

→ separate qualifications: official vs non-official members

Interview weaknesses: too short · desultory chat · artificial atmosphere · element of luck · tendency to reproduce oneself · subjectivity and bias.

Role of UPSC today

→ evolve into a ***Central Personnel Agency***

→ negative → ***positive recruitment***

→ build ***psycho-social profile*** of candidates

→ outside experts; principal ***R&D body*** in civil-service management

→ drop one-size-fits-all

In the news · Saarthi IAS CA, Jul 2026 (verify) ***Public Examinations (Prevention of Unfair Means) Amendment Act, 2026:*** amends the 2024 Act; higher penalties; probe in 2 months; trial in 3 months of chargesheet; Court of Session in every State/UT; appeals to a 2-judge HC bench. ***Link:*** recruitment integrity (2nd ARC).

Recall drill: cover and answer

Part and Articles for civil services	Part XIV, Arts 308-323
First PSC and chairman	FPSC 1926, Sir Ross Barker (Lee Commission 1924)
First provincial PSC	Madras 1929
UPSC advice set aside	57 (1950-84), 82 (1984-88)
Convention broken in 2015	seniormost member as Chairman
Two 2nd ARC exam models	I: together; II: shortlist 2-3× vacancies

CIVIL SERVICES: MEANING & LATERAL ENTRY

PYQ Mains 2014 (cadre-based civil services and slow change) · Handout MI pp. 5–7

✎ *"Civil servants" are a narrower group inside "public servants". The closed, cadre-based, generalist system built for the British now needs specialists, so lateral entry is knocking.*

Origin: East India Company, about **1765**, separated combatant from non-combatant staff. **State = largest employer; ~3% of GDP** goes on civil servants.

Civil servants EXCLUDE

- → political executive
- → judiciary
- → defence forces
- → PSU employees
- → = all these are ***public servants***

Rule: all civil servants are public servants; ***not all public servants are civil servants.***

Category	Services
All India	IAS, IPS, IFoS
Central	IRS, ICAS, engineering, health, railway, para-defence (IDES, IDAS, IOFS), Secretariat
State	recruited by state
Municipal	local bodies

Groups: 3rd Pay Commission replaced Class 1–4 by **Group A, B, C, D**. A + B = management cadre; C + D = staff.

ACSM — **A**ll India · **C**entral · **S**tate · **M**unicipal (top to local) (own mnemonic)

A CLOSED "ARISTOCRATIC" SYSTEM PYQ 2014

Features

- → sharp divide between grades
- → recruitment in a narrow age band
- → tests general ability only
- → may mirror class preference
- → cadre-based services

Consequences

- → conservative, ***status quoist***, non-responsive
- → ***rule fetishism***; placement by rank not competence
- → elitist mindset; obstacles to change

CORNERS — A closed system **CORNERS** the officer: **C**onservative · **O**bstacles to change · **R**ule fetishism · **N**on-responsive · **E**litist · **R**ank not competence · **S**tatus quoist (own mnemonic)

Why social change is slow

- → education (religious and social complexes)
- → conservative attitudes, esp. towards women
- → limited social and spatial mobility
- → failure of the political system
- → ***cadre-based services + aristocratic personnel system***
- → high poverty

GENERALIST vs SPECIALIST

Generalist	Specialist
holistic policy view; coordination (2nd ARC: keep breadth, build domain expertise)	techno-economic complexity: AI, digital finance, climate, energy (NITI Aayog 3-Year Action Agenda 2017-20 → lateral entry)
grassroots field experience	policy inertia, lack of depth (2nd ARC: assign domains over a career)
institutional memory	evidence-based policy

Need for specialisation in finance, infrastructure, social, regulatory work ***after 10-12 years of service***.

LATERAL ENTRY (since 1st ARC)

Why

→ ***Type I error***: wrong person recruited
→ ***Type II error***: right person rejected
→ career path largely automatic
→ IAS built for the pre-reform State
→ Union depts need skills state cadres don't give

Issues

→ no district/field experience
→ may not see it as a career
→ corporates may place representatives; ruling party favourites
→ ***top-heavy*** administration (overstaffed top, thin field)
→ upgrade permanent staff too

2018	2021	Aug 2024	Controversy	20 Aug 2024
10 JS posts; 10 yrs, age <40; 3→5 yrs	31 posts: JS, Director, DS	45 posts (10 JS + 35 Dir/DS)	no SC/ST/OBC reservation: single posts outside roster	DoPT asks UPSC to cancel advert

Recall drill: cover and answer

Who coined "civil services", when	East India Company, c. 1765
Excluded from civil servants	political executive, judiciary, defence, PSUs
3rd Pay Commission change	Class 1-4 → Group A-D
Type I / Type II error	wrong person hired / right person rejected
Aug 2024 lateral entry	45 posts; advert cancelled 20 Aug

ALL INDIA SERVICES

PYQ none quoted in the material · Handout MI pp. 7–9

✎ *Officers recruited and trained by the Union but serving States. Patel saved them as the "Steel Frame" of unity; states now say they get responsibility without authority.*

1909	1924	1947	Today
nine AIS	four	two	three: **IAS, IPS, IFoS**

Provincialisation = abolishing an AIS. ***25 cadres***, incl. 2 joint: ***AGMUT*** (Arunachal, Goa, Mizoram, Union Territories) and ***Assam-Meghalaya***.

CONSTITUENT ASSEMBLY DEBATE

Against

→ Nehru Committee Report 1928 not keen
→ regions feared Centre
→ British policy cut their number
→ ***Nehru*** not initially in favour

For: Sardar Patel

→ "***Father of AIS***" → ***Art 312***
→ states lacked capacity to recruit
→ AIS = ***Steel Frame*** of unity
→ phrase from ***David Lloyd George*** (Imperial Civil Service)

R R R R – Service Articles: ***309 Recruit · 310 Retain (pleasure) · 311 Remove (safeguards) · 312 Raise AIS***; then ***16*** equal opportunity, ***323A*** tribunals. (own mnemonic)

SHOULD AIS CONTINUE?

For (rationale)	Against (states' view)
best talent; national unity; federalism; Union touches ground realities	unity not threatened as in 1947; needs a stronger base than administration
Centre acts in emergencies; fewer political pressures on postings	***authority-responsibility mismatch***; demoralised state services
law-and-order and Centre-State coordination	***2:1 outsider-insider ratio***; "sons of the soil"; ***Entry 70, Union List***; officers spend careers in one cadre

Body	View
Rajamannar	disband AIS
Sarkaria	disbanding is retrograde; strengthen, cut generalism; Advisory Council under Cabinet Secretary; new AIS: Engineering, Medical & Health, Education

DISMISSAL AND DISCIPLINE

Doctrine of Pleasure: public job ≠ private contract. Responsive to people, responsible to government; termination subject to constitutional safeguards.

2nd ARC on Art 311

→ procedural protection makes it hard to dismiss even the deserving
→ recommends ***repeal of Art 311***
→ one comprehensive ***Civil Services Law***
→ define "reasonable opportunity"

Service rules

→ no political party, funds or elections; may vote, not disclose
→ limits on family politics, criticism of govt, media
→ annual asset declaration; report gifts

T.S.R. Subramanian (2013): minimum tenure in key posts · ***Civil Services Boards*** for postings/ transfers · avoid verbal orders · comprehensive Civil Services Law.

Recall drill: cover and answer

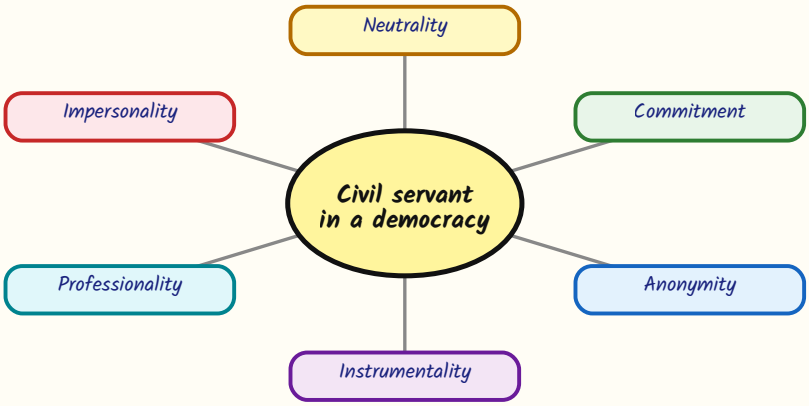
AIS count: 1909, 1924, 1947	9, 4, 2
Father of AIS; article	Sardar Patel; Art 312
AGMUT expands as	Arunachal, Goa, Mizoram, Union Territories
Sarkaria on AIS	strengthen; Advisory Council; new AIS
T.S.R. Subramanian 2013	minimum tenure, Civil Services Boards

⚖ SIX ROLES OF CIVIL SERVANTS IN A DEMOCRACY ⚖

PYQ Mains 2017 (neutrality and effectiveness) · Handout MI pp. 9–12

✎ *A civil servant must be neutral, committed, anonymous, an instrument of the people, professional and impersonal. Each role has its own pressure point.*

I PANIC — Six roles, no sequence (handout order N-C-A-I-P-I): **I**mpersonality · **P**rofessionality · **A**nonymity · **N**eutrality · **I**nstrumentality · **C**ommitment. A good officer never says "I PANIC". (own mnemonic)



1 · NEUTRALITY PYQ 2017

Three layers

→ **Class:** mostly middle class; elite capture (example: NRA, USA)
→ **Cultural:** language, caste, religion, region
→ **Political** = 3 confidences ↓

Confidence of	Meaning
People	serve whichever party they elect, diligently
Ministers	commitment irrespective of ideology
Civil servants	postings and promotions on merit, not politics

Political neutrality ≠ policy neutrality. Involvement in policy = ***intellectual, never emotional.*** Civil servants ***must understand politics, not play politics.***

Problems: a thinking person is never fully neutral · the **4Cs** of the political environment (criminalisation, casteism, communalism, corruption) · parties demand loyalty · no consensus on fundamentals · multi-party pressure at Centre and state.

Bhaskar Ghose's 3 types	Behaviour
Neither Wilt nor Tilt	firm; refuse orders against policy or law; may be transferred, stay honest
Incorrigibly Corrupt	find political godfathers early
Weather Report Readers	shift loyalty with political weather

2–6 · THE OTHER FIVE

Commitment

→ impartial rule of law; code of ethics
→ settled policies; probity; transparency; duty
→ welfare of the ***Daridra*** (poorest of the poor)

Anonymity

→ works behind the scenes; ***minister = public face***

→ credit and major failure go to the minister (***ministerial responsibility***)

→ changing: social audits, RTI, Citizens' Charters, time-bound service laws

Instrumentality

→ instrument of the people, but a full bureaucracy can become an ***independent power structure*** with elitist values

→ ***Max Weber:*** once an institution, bureaucracy is among the hardest structures to dismantle

Professionality

→ keep improving knowledge and skills

→ hindrances: generalists in specialist services · poor training (only ***1 in 5*** gets formal training; Group A, B only) · weak appraisal (no quantifiable targets) · "***hire, but no fire***" · IAS dominance

Impersonality

→ don't personalise the post (DC, SP)

→ no excess personal bonds with superiors, colleagues, juniors (example: ignoring a friend's corruption)

CIVIL SERVICES ACTIVISM

FROM ACT TO VERDICT

Forms: media · calculated leaks · courts · whistleblowing · grassroots · post-retirement (NGOs, YouTube) → *Case: Dr. Lakhina, Ahmednagar 1980s, colour-coded files by year = Lakhina Experiment* → *Issues: breaks service rules · personalises institutional issues · manipulated by parties/media · erodes credibility* → *Verdict: cannot be encouraged, but a sign of our times → reforms*

Recall drill: cover and answer

Six roles	neutrality, commitment, anonymity, instrumentality, professionality, impersonality
Three confidences	people, ministers, civil servants
Ghose's 3 types	Wilt-Tilt (firm), Incorrigibly Corrupt, Weather Report Readers
Training coverage	only 1 in 5 gets formal training
Lakhina Experiment	colour-coded files by year, Ahmednagar 1980s

WORKING & PERFORMANCE OF CIVIL SERVICES

PYQ none quoted in the material (2014 cadre PYQ printed here, answer in Ch 2) · Handout MI pp. 12–13

✎ *Civil servants formulate, implement, evaluate and adjudicate. Regulation is the best-done job; delivery and facilitation are weakest, and political meddling explains much of it.*

FIEA — Four functions: **F**ormulate · **I**mplement · **E**valuate · **A**djudicate (and keep ***continuity*** when politics changes). (own mnemonic)

Functions

→ ***Formulate:*** channel between grassroots and top; facts, court judgments, laws; draft legislation; balanced policy
→ ***Implement:*** rules, finance, HR, monitoring
→ ***Evaluate:*** feedback to leadership but conflict of interest (evaluating own programmes) → ***social audits***
→ ***Adjudicate:*** quasi-judicial (Collector revenue courts)

Function	Performance
Regulatory	relatively satisfactory: order, democracy, secularism, unity, law and order
Impartial rule of law	hit by class bias, corruption, political interference
Developmental	mixed
Facilitation (post-1991)	doer → facilitator for private sector, NGOs, local bodies; ***particularly weak***

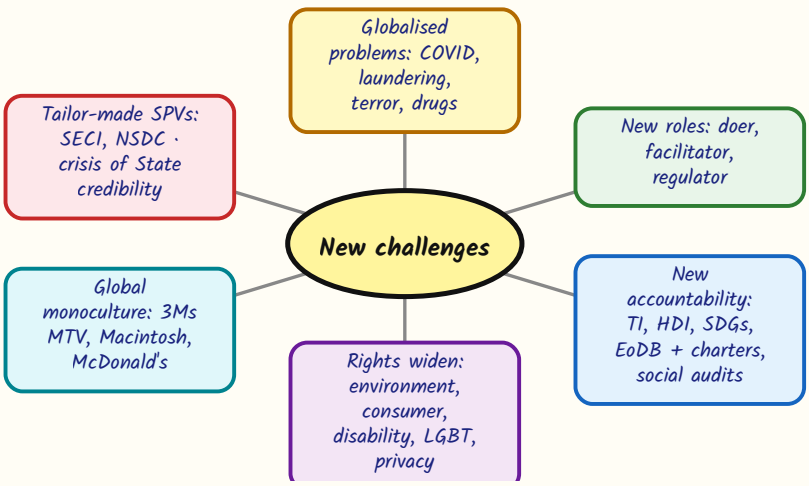
WHY PERFORMANCE SUFFERS

Causes

→ political interference; ***dual control*** over AIS
→ reluctance to use constitutional protection (cost)
→ ***arbitrary transfers, short tenures*** (DC about 1 year)
→ ***street-level bureaucracy*** corruption
→ poor capacity building; ***wage compression***; weak evaluation; little people's participation

WILD SCARE — **W**age compression · **I**nterference · **L**ack of participation · **D**ual control · **S**treet-level corruption · **C**apacity · **A**rbitrary transfers · **R**eluctance to use protection · **E**valuation poor (own mnemonic)

21st-CENTURY CHALLENGES



Reforms must be ***continuous, not episodic***; professionalism is the aim. ***PYQ printed here: 2014 cadre-based services*** → Ch 2.

In the news · Saarthi IAS CA, Aug 2026 (verify) ***Cabinet Secretary:*** ACC approved a one-year extension.
Link: stable tenure at the top vs arbitrary transfers lower down (T.S.R. Subramanian).

Recall drill: cover and answer

Four functions	formulate, implement, evaluate, adjudicate
Evaluation problem	conflict of interest → social audit
Weakest performance area	facilitation (post-1991)
Average DC tenure	about one year
3Ms of monoculture	MTV, Macintosh, McDonald's

BUREAUCRACY & DEVELOPMENT

PYQ none quoted in the material · Handout MI pp. 13-15

✎ *Weber said bureaucracy is like fire: a fine servant, a terrible master. Democracy both needs it and fears it, and Indian bureaucracy has its own habits and paradoxes.*

> **Max Weber:** *"Democracy has to promote what reason demands but what democratic sentiments hate." A* **love-hate** *relationship: bureaucracy is like* **fire**, *invaluable servant, destructive master.*

Promotes democracy

- → institutionalises rule of law
- → free and fair elections
- → fulfils the six role expectations
- → balances policymaking
- → delivers socio-economic justice

Threatens it

- → instrument → institution; resists reform
- → oligarchic power; ***secrecy*** (uninformed parliament)
- → suppresses NGOs, pressure groups, local bodies
- → not a ***representative bureaucracy*** (class, caste, religion, occupation)
- → corruption; ***state oppression*** (ED, CBI against rivals)
- → power struggle → ***politico-administrative no-man's land***

SCORPIOS — Bureaucracy as master stings: **S**ecrecy · **C**orruption · **O**ligarchy · **R**epresentation absent · **P**olitico-admin no-man's land · **I**nstrument→institution · **O**ppression · **S**uppresses NGOs (own mnemonic)

Political-bureaucratic conflict	Parties
Mundhra scandal 1957	LIC investments in Haridas Mundhra firms; FM and Finance Secretary resigned
Mid-1960s	Home Minister Nanda vs Home Secretary L.P. Singh
1973	Railway Minister Hanumanthaiah vs Railway Board Chairman B.C. Ganguli
1987	PM Rajiv Gandhi vs Foreign Secretary A.P. Venkateswaran (Sri Lanka)

WEBER vs DEVELOPMENT ADMINISTRATION

Weber's bureaucracy	Development administration
division of labour, specialisation	***change*** orientation
clear hierarchy	***result*** orientation (quantified)
rule orientation (impartial)	***commitment*** to change; time-bound
role specificity (accountability)	***client*** orientation; participation

C R C C — Development admin = **C**hange · **R**esults · **C**ommitment (time-bound) · **C**lients. (own mnemonic)

Conflicts: goal displacement · low adaptability (built to hold status quo) · historical mismatch (development admin emerged after WW II) · society must be ready · excess formalism, unsuited to rural development. Bureaucracy can exist in private bodies too.

INDIAN BUREAUCRACY

Structural

→ British pattern
→ long hierarchies
→ centralised, cadre-based
→ ***unstable tenure*** ("packing and unpacking")
→ standard departmental structure

Behavioural

→ colonial mindset: master not servant
→ non-responsive; ***Hakim culture***
→ ***Babu culture:*** file and rule fetishism, creative inertia
→ corruption, red tape, secrecy

Paradoxes

→ advanced technology amid backwardness
→ govt spends on itself: ***16 paise*** of each rupee reaches people (Rajiv Gandhi)
→ archaic values; authority-responsibility mismatch
→ unstable tenure; weak inter-agency coordination
→ ***learning disorders*** (e.g. repeated dengue in Delhi)
→ generalists preferred; wage compression

Recall drill: cover and answer

Weber's metaphor	bureaucracy is like fire: servant or master
Mundhra scandal	1957, LIC; FM and Finance Secretary resigned
Development admin traits	change, results, commitment, clients
Hakim vs Babu	colonial master mindset vs file/rule fetishism
Rajiv Gandhi figure	16 paise of a rupee reaches people

PAY, 8th CPC & RIGHT TO STRIKE

PYQ none quoted in the material · Handout MI pp. 16-17

✎ *Civil servants earn less than the private sector but get security, perks and status. The 8th Pay Commission is about a multiplier, and strikes in essential services are a public-interest line.*

Salaries are often lower than the private sector, but with ***job security, fringe benefits, higher status and public service***. Balance = ***performance-linked incentives***.

8th CENTRAL PAY COMMISSION

FORMULA — ***Revised Basic Pay = Existing Basic Pay × Fitment Factor*** · reference date ***1 Jan 2026*** · higher factor → higher allowances and pension liability.

Issues

→ ***minimum-wage model*** (3 consumption units; demand to add dependent parents)
→ ***DA merger*** demand; DA is absorbed then reset = inflation compensation
→ fiscal impact: committed spending, less capex
→ pressure on states to follow

Way forward

→ regular smaller revisions
→ performance orientation without hurting neutrality
→ workforce rationalisation; digital governance
→ link to inflation, revenue, fiscal capacity

RIGHT TO STRIKE

Trigger: Essential Defence Services Bill, 2021 (Ordinance June 2021; passed Aug 2021 as an Act; general knowledge, verify): bans strikes in essential defence services incl. ordnance factories (***41 factories, ~84,000 workers***) for uninterrupted supply in a two-front conflict.

In favour	*Against*
collective protest by citizens	public interest: strike = loaded gun at citizens
protection from exploitation	civil servants = model citizens
last resort when other means fail	govt must treat staff fairly

Balanced position (handout): no strikes that seriously disrupt essential public services; distinguish essential from non-essential services.

Legal position

→ strike misconduct = disciplinary offence under service rules and ***ESMA***
→ ***1st ARC (1966):*** opposed right to strike; unlawful strikes a ***penal offence***
→ ***Supreme Court:*** no fundamental, statutory or equitable right to strike

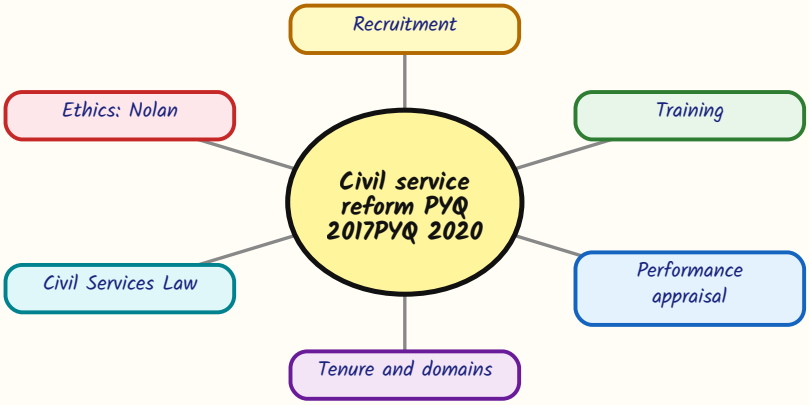
Recall drill: cover and answer

8th CPC formula	Existing basic pay × fitment factor
8th CPC reference date	1 January 2026
Essential Defence Services Bill	2021; 41 factories, ~84,000 workers
1st ARC on strikes	oppose; make unlawful strikes penal
SC on strikes	no fundamental, statutory or equitable right

CIVIL SERVICES REFORMS & NOLAN PRINCIPLES

PYQ Mains 2017 (neutrality and effectiveness) · 2020 (institutions and economic performance) · Handout MI pp. 17-18

✎ *Reform has four fronts: recruit better, train everyone, appraise on results, and write a Civil Services Law. Nolan's seven principles are the ethical yardstick.*



Recruitment

→ ***mainstream lateral entry***; less dependence on cadre services
→ ***Satish Chandra Committee***: separate exams for technical services
→ ***NIPAs (2nd ARC)***: after higher secondary, compete like IIT/AIIMS; ***3-4 years*** of public administration; graduates via ***1-year bridge course***
→ ***psycho-social profile***, SSB-style interview; probation to weed out

Training

→ for ***all***, not only Group A, B; mid-career training
→ fix content (unsuited to field; seen as paid holiday)
→ link training grades to promotion; soft skills

Appraisal

→ ***0-10 grades*** tied to targets
→ ***360-degree***: superiors, colleagues, juniors, clients; used for AIS empanelment for central deputation; 2nd ARC reservations: victimisation of honest officers

Tenure, law, specialists

→ stable tenure; ***domainisation*** (security, infrastructure, agriculture)
→ performance-linked incentives; ***remove deadwood*** by premature retirement
→ ***Civil Services Law*** (2nd ARC drafted a bill); transparent transfers, postings, discipline
→ ***rehabilitate specialists*** working under generalists on lower pay

NOLAN PRINCIPLES (1995)

Principle	Meaning
Selflessness	act only in public interest; no personal gain
Integrity	moral uprightness; avoid conflict of interest
Objectivity	merit and evidence; no bias
Accountability	answerable to public and oversight bodies
Openness	transparent; information accessible unless restricted by law
Honesty	truthful in declarations and dealings
Leadership	exemplify and promote these

HALO iOS — Nolan's seven: **H**onesty · **A**ccountability · **L**eadership · **O**penness · **I**ntegrity · **O**bjectivity · **S**elflessness. Handout order S-I-O-A-O-H-L. (own mnemonic)

PYQs printed: 2017 (250 w) CS designed for neutrality and effectiveness, now lacking; drastic reforms? · 2020 (150 w) institutional quality drives economic performance; suggest CS reforms to strengthen democracy.

In the news · Saarthi IAS CA, Aug and Jul 2026 (verify) ***Conflict of interest:*** National Horticulture Board bars public functionaries from commercial horticulture subsidies; ***SEBI*** rules (Sinha Committee): life-cycle disclosure, ***2-year cooling-off***, recusal, Office of Ethics and Compliance. Quote: Caesar's wife, trusteeship.

Recall drill: cover and answer

Nolan principles	selflessness, integrity, objectivity, accountability, openness, honesty, leadership
NIPA idea (2nd ARC)	after higher secondary; 3-4 years; 1-year bridge course
360-degree concern	victimisation of honest officers
Appraisal scale	0-10 grades tied to targets
Satish Chandra Committee	separate exams for technical services

REFORM CHALLENGES · MISSION KARMAYOGI · AARAMBH

PYQ Mains 2020 (institutions and economic performance) · Handout MI pp. 19-20

✎ *Reforms stall for human reasons. Mission Karmayogi tries to move the civil service from rules to roles with online, role-specific training.*

Why reforms stall

→ ***political will*** shifts; leaders resist losing control over transfers
→ ***management capacity*** weak; ***fragmented, piecemeal*** efforts
→ ***civil servants*** resist (job security, no incentive)
→ ***safety nets:*** compensation, retraining, counselling
→ ***context:*** one state's success may not suit another
→ ***communication*** and stakeholder engagement

CRAMPS — **C**ommunication · **R**esistance · **A**lignment with context · **M**anagement capacity · **P**olitical will · **S**afety nets (own mnemonic)

Way forward: cross-party commitment · reform units (capacity) · incentives for civil servants · safety nets · contextualise · institutionalise consultation and feedback.

MISSION KARMAYOGI (NPCSCB), 2020 PYQ 2020

Core shift: rules-based → roles-based HR. Aims: future-ready workforce · competency-driven specialist governance · align with ***Viksit Bharat 2047*** · performance-based appraisal over tenure-based promotion.

Component	What it does
iGOT Karmayogi	Integrated Government Online Training: on-demand, role-specific, blended, AI-personalised; unified across services, ministries, states
Competency frameworks	behavioural, functional, domain dictionaries; replace one-size-fits-all
Performance management	outcome-based; beyond Annual Confidential Reports to real-time feedback; links to promotion, posting, recognition
SPV: Karmayogi Bharat	not-for-profit company; content, partnerships, implementation
Capacity Building Commission	custodian of the framework

I C P S — Karmayogi: **i**GOT · **C**ompetency · **P**erformance · **S**PV (+ the Commission). (own mnemonic)

Implementation problems

→ integrating lateral entrants (culture gap)
→ compliance → problem-solving mindset
→ Centre-State coordination
→ digital infrastructure in remote areas

Significance

→ efficiency, transparency, accountability
→ responsive governance
→ control-focused → role-based, citizen-first

C C C — ***Aarambh*** (Common Foundation Course for probationers) builds three Cs: **C**ommitment · **C**haracter · **C**onduct.

In the news · Saarthi IAS CA, Jul 2026 (verify) ***DAKSH Leadership Programme*** (3rd batch): senior PSE executives; run by the Capacity Building Commission and SCOPE with ISB.

Recall drill: cover and answer

Mission Karmayogi shift	rules-based → roles-based
iGOT stands for	Integrated Government Online Training
SPV	Karmayogi Bharat, not-for-profit
Aarambh stresses	Commitment, Character, Conduct
Karmayogi aligns with	Viksit Bharat 2047

TRANSPARENCY & NDSAP

PYQ none quoted in the material · Handout MI pp. 21-23

✎ *Transparency means the rules, reasons and records of power are open to the people. It comes first; accountability and integrity follow. NDSAP opens government data.*

OECD: objectives, frameworks, decisions and reasons made comprehensible, accessible, timely.

UNESCAP: decisions follow rules; information freely and directly accessible to those affected.

TOP — Three metaphors: **T**ool of good governance · **O**pen decision-making (secrecy vs privacy) · **P**ublic value (counters corruption). (own mnemonic)

ACE TIPS — Objectives: **A**ccountability · **C**ombat corruption · **E**ntitlements · **T**rust · **I**nformed citizens · **P**articipation · **S**ervice delivery (own mnemonic)

Transparency is the precursor of accountability, integrity and probity. Mechanisms: RTI, e-governance, Citizen's Charters. Key measures: ***RTI 2005, NDSAP 2012, Charters, e-governance, CPGRAMS.***

SOCIAL ACCOUNTABILITY TOOLS

Tool / practice	Impact
Social audits, ***MGNREGA, Rajasthan***	villagers found ghost beneficiaries, wage leakages
Citizen Report Cards, Bengaluru	feedback improved electricity, water
Public Expenditure Tracking, ***Uganda***	less diversion of education grants
EDUCO, El Salvador	community school management improved teacher accountability

E-governance

→ streamlines, cuts discretion

→ limits: digital divide, privacy, cybersecurity, low literacy

Challenges of transparency

→ burden from non-serious applications

→ misuse by anti-social elements

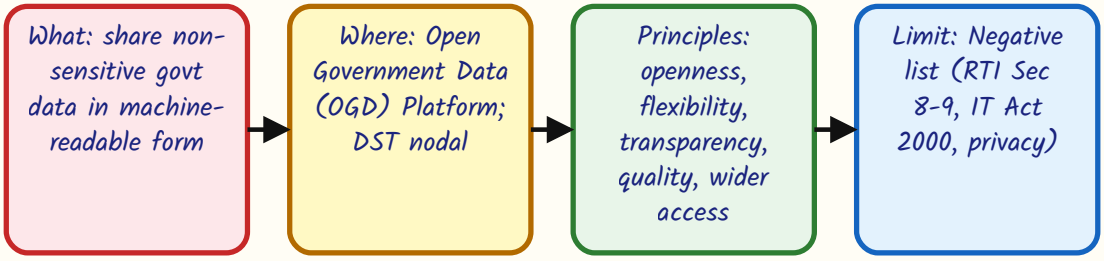
→ authenticity; wrong interpretation

→ privacy and confidentiality

Committee / report	Recommendation
2nd ARC, 14th Report	mandatory proactive disclosure; e-governance with service delivery; public data portals
Law Commission 179th, 255th	redefine RTI exemptions; guide on public-interest disclosure
NCRWC	replace Official Secrets Act with proper national-security law
CIC 2013	political parties come within RTI; non-compliance persists

NDSAP 2012

FOUR LINES ON NDSAP



Transparency vs privacy: RTI may clash with the Official Secrets Act, Conduct Rules, privacy. ***Sec 8(2)***: disclose when public interest outweighs protected interest. Aadhaar and DBT need strong data protection. Digital and language barriers exclude the marginalised.

Recall drill: cover and answer

NDSAP year, nodal dept	2012; DST
Platform	Open Government Data (OGD)
Negative list based on	RTI Sec 8-9, IT Act 2000, privacy
Transparency is precursor of	accountability, integrity, probity
Rajasthan social audit	MGNREGA; ghost beneficiaries

ACCOUNTABILITY

PYQ Mains 2018* (effectiveness of government and people's participation) · Handout MI pp. 24-28

✎ *Accountability = answering for your actions and facing a penalty if you fail. It runs up, down and sideways, and every answer should ask: for what, to whom, through what?*

Responsibility = duty to carry out assigned tasks. ***Accountability*** = responsibility working through hierarchy: ***answerability*** (give account) + ***enforceability*** (penalty).

EAR — Components: **E**nforcement · **A**nswerability · **R**esponsiveness. (own mnemonic)

CHAI — Dimensions: **C**ontrolling political power · **H**uman · **A**rgumentative · **I**nformational. (own mnemonic)

Values and objectives

→ ***values:*** integrity, impartiality, objectivity, empathy, compassion

→ ***objectives:*** control abuse · set standards · continuous improvement · link administration with democracy · institutional introspection

TYPES OF ACCOUNTABILITY

Type	Meaning
Managerial	within hierarchy
Political	civil servants → ministers → legislature
Judicial	unconstitutional or illegal acts
Institutional / Horizontal	external bodies: CAG, CBI, CVC
Professional	Bar Council, ICAI codes
Social	citizens: RTI, charters, social audit, Lokpal

THREE DIRECTIONS

Horizontal: state bodies seek answers and punish (CAG, EC, CVC, CIC, ombudsman) → *Vertical: citizens and civil society (elections, lobbying, report cards, social audit)* → *Diagonal: citizens approach horizontal bodies directly = PIL*

Other classifications

→ ***Financial/fiscal:*** oldest; legislature controls public purse (World Bank: accounting, external audit, follow-up)

→ ***Process*** (tenders, contracts); ***Programme*** (results: right beneficiaries?)

→ ***Intra***-organisational (inside) vs ***extra***-organisational (outside)

→ ***World Bank: micro***-accountability (to service users) and ***macro*** (financial, economic performance)

Need: bigger government · delegated legislation · politics-bureaucracy nexus · corruption · limited participation. ***Three questions: for what, to whom, through what.*** Tools: traditional (ministerial control, debates, committees, media, ombudsman) + ***New Public Management*** (efficiency, outcomes, competition, value for money).

MECHANISMS

Institutions

→ ***CVC***: Feb 1964, Santhanam Committee; statutory 2003
→ ***Lokpal and Lokayuktas Act 2013***: committee = PM, LS Speaker, LoP (LS), CJI or nominee, eminent jurist
→ ***Whistle Blowers Protection Act 2014***: no anonymous complaints
→ ***CAG***: guardian of the public purse; reports to Parliament and PAC
→ ***social audit, RTI, Citizens' Charters***

Modern

→ performance audits, outcome budgeting
→ ***Social Audit 2.0*** (digital dashboards); ethics committees
→ data-driven vigilance cells; ***CPGRAMS, PRAGATI***

Issues

→ unclear relationships; size of govt
→ secrecy; excess focus on inputs
→ top-down enforcement
→ ***new***: AI bias; platform governance; ***PPPs diffuse blame***

Solutions

→ decentralise (World Bank)
→ ***bottom-up*** accountability
→ value-driven; ethical capacity building
→ internalise it beyond fear of sanction; tech with human oversight

Handout flag: the CVC and Lokpal selection committees are different. CVC: ***PM, Home Minister, LoP***. Lokpal: ***PM, Speaker, LoP, CJI/nominee, jurist***.

Recall drill: cover and answer

Two parts of accountability	answerability + enforceability
Horizontal / vertical / diagonal	state bodies / citizens / citizens → bodies (PIL)
Micro vs macro	service users vs financial and economic performance
CVC set up	Feb 1964, Santhanam; statutory 2003
Three questions	for what, to whom, through what

CITIZEN'S CHARTER & SEVOTTAM

PYQ Mains 2024 (15 m) · 2018 (15 m) · 2013 (10 m) · Handout MI pp. 28–31

✎ *A Charter is the office's promise to citizens: what service, how fast, whom to complain to. It creates no new right. Sevottam is the quality system that tries to make the promise real.*

Launched 1991 by John Major (UK). Declaration of commitment on ***qualitative and temporal entitlements***; ***creates no new rights***, seeks to enforce existing ones; includes grievance redress.

Purposes

- → clarifies expectations; responsive govt; service mindset
- → ***people's participation*** (consultation)
- → ***strengthens accountability*** (standards + timelines separate performers)
- → good-governance signal; credibility; empowerment

Elements (India)

- → vision and mission; business transacted; clients served
- → services per client group
- → ***grievance redressal and how to reach it***
- → what is expected of clients (documents, fees)
- → ***compensation*** details; internal + external monitoring

By 2011-end: ***131*** central and ***729*** state charters · site ***goicharters.nic.in***.

PROBLEMS PYQ 2024 PYQ 2018 PYQ 2013

Why charters fail

- → bureaucratic mindset; ***manager's charter*** (little consultation)
- → ***no penal provisions***; low awareness
- → standards too lax or too strict; too detailed or too brief
- → redressal names and addresses missing
- → no incentives (UK ***Charter Mark***; DARPG hired an outside agency)
- → brochures treated as charters; elderly and disabled ignored
- → poor review; no devolution to street-level staff; jargon, no vernacular; one format for all

WHO CARE — ARC-II fixes: **W**idest consultation · **H**old officers accountable (penal) · **O**ne size does not fit all · **C**ommit to what you can deliver · **A**ppropriate redressal · **R**eform internal processes · **E**valuate with user feedback (own mnemonic)

Suggestions: DARPG hand-holding for first charters · credible NGOs for awareness · user groups and staff in drafting · outside monitoring · prioritise services · incentives (organisation and individual) · best-practice showcase · simple language · ***5-year master plan with budget***.

SEVOTTAM = SEVA + UTTAM

SEVOTTAM IN FOUR STEPS

2nd ARC idea; launched 2006 → Piloted in 10 departments (2009-10) → IS 15700:2005 (BIS) certifies the Sevottam symbol → Three modules: Charter · Grievances · Service delivery capability

Core module	Focus
Citizen Charter implementation	feedback shapes service norms
Public grievance redressal	responsive, empathetic redress regardless of outcome
Service delivery capability	internal processes, resources, workforce

D S D P M E I — Seven steps in order: **D**efine services · **S**et standards · **D**evelop capability · **P**erform · **M**onitor · **E**valuate impact · **I**mprove. Remember: Do Something Daily; People Must Expect Improvement. (own mnemonic)

Significance: structured quality management (2025 DARPG workshop, Bhopal) · citizen-centric culture · credible self-assessment.

Challenges: procedural compliance · fragmented adoption · weak digital link. ***Way:*** training; link with CPGRAMS, MyGov, dashboards; third-party audit.

Recall drill: cover and answer

Charter origin	1991, John Major, UK
Does a Charter create rights?	No; enforces existing ones
Charters by 2011	131 central, 729 state
Sevottam launch; standard	2006; IS 15700:2005
Three Sevottam modules	Charter, grievances, service delivery capability

RTI ACT 2005 & THE 2019 AMENDMENT

PYQ Mains 2020 (RTI amendments and autonomy of Information Commission) · Handout MI pp. 31–35

✎ *RTI turns a citizen's question into a legal duty on any public authority. Few exemptions, a public-interest override and penalties: the 2019 amendment moved tenure and pay of Commissioners to the Centre.*

1766 Sweden: first RTI law

1966 USA second

Ombudsman: Sweden 1809; India's Lokpal Bill ***passed 2013*** (became an Act); Lokpal constituted 2019.

Constitutional locus: not codified directly; Preamble supports; ***SC read it into Art 19(1)(a), Art 21, Art 39(b), 39(c)***. Cases: ***Rajnarain 1975, S.P. Gupta 1982***. Madison: popular government without information is "a Prologue to a Farce or a Tragedy".

Why demand grew

→ spread of democracy; World Bank, IMF, TI advocacy
→ ***NCPRI 1996 (Aruna Roy)***, PUCL, ADR
→ ***MKSS***, Janawad, Rajasthan: "***Humara Paisa, Humara Hisab***"

MONOPOLY — ***Monopoly + Discretion − Transparency = Corruption.*** RTI: corrects power asymmetry, realises other rights (food), trust deficit (info within ***30 days***), better records, shields civil servants (documentary proof).

1997 Shourie working group; ***Tamil Nadu*** acts first

2002 FOI Bill passed (Act) but ***never notified***; weak

2005 RTI Bill drafted by ***National Advisory Council***; passed as RTI Act

PAID — A sound regime: **P**enalties (Rs 250 a day, max Rs 25,000) · **A**ccess (low fees, free for BPL) · **I**ndependent appeal (CIC, SIC) · **D**isclosure maximum, exemption minimum (own mnemonic)

MAIN FEATURES

Right and scope

→ every citizen; wide definition of information (records, memos, e-mail, advice, orders, contracts, samples, electronic data, private-body info held by an authority)
→ includes inspection, certified copies, samples, electronic formats
→ ***public authority:*** constitutional or statutory bodies; owned, controlled or ***substantially financed*** (undefined); NGOs substantially financed

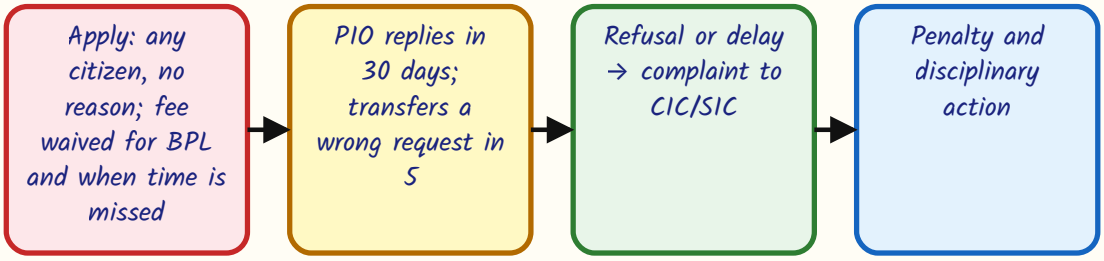
Contested body	***Handout position***
President / Governors	long-pending question
BCCI / federations	substantially financed; ***CIC affirmed 2018***
PPP projects	DoPT circular 2013; DIAL: CIC 2010 yes, Delhi HC stayed
Judiciary	***SC 2019:*** by and large covered
Political parties	***CIC 2013:*** recognised parties are public authorities

SC puzzles in handout: RBI must disclose banks' info, yet 2019: risk and inspection reports need not be; "fear psychosis and paralysis" remark; objections to parties: free associations, no direct tax money.

PROCEDURE: THE NUMBERS

16·120·100·5·10·20 — ***16*** types of suo motu info in ***120*** days · designate PIOs in ***100*** days · transfer in ***5*** · third party ***10*** days · release after ***20*** years. Reply ***30 days***. Penalty ***Rs 250/day, up to Rs 25,000***.

PATH OF A REQUEST



EXEMPTIONS (Sec 8) AND OVERRIDE

Exempt

→ sovereignty, security, strategic, scientific, economic interests; foreign relations; incitement
→ court-forbidden; contempt; legislative privilege
→ trade secrets, IP (unless larger public interest); fiduciary; foreign confidences
→ safety, sources; impeding investigation
→ ***Cabinet papers*** (public after completion); personal information unrelated to public activity

Public-interest override over the Official Secrets Act 1923. ***Only absolute exemption: copyright of a person other than the State.*** What cannot be denied to Parliament cannot be denied to citizens. ***Second Schedule:*** intelligence and security bodies exempt, but ***corruption and human-rights*** info must be given (rights: with Commission's approval). CBI and NIA added by executive order. Act overrides OSA; ***courts barred*** except appeals; ***wholly retrospective***; exempt info released after ***20 years*** (not Cabinet, privilege, sovereignty etc.).

RIGHTS AND THE 2019 AMENDMENT PYQ 2020

Rights: medium and language of choice · help in writing · no reason needed · notice of transfer · help for the disabled · fee waived (BPL, delay) · reasons for rejection and appeal details · complaint for no PIO, refusal, delay, unreasonable fee, incomplete or false info.

2019 change	Effect
Tenure and appointment	Centre decides; 5-year term removed
Salary and service	Centre fixes; delinked from CEC and ECs
Status	CIC clarified as ***statutory, not constitutional***

Negative: executive overreach · public distrust · federal dilution (SICs).

Positive: flexibility · fiscal discipline · policy alignment. ***Reflect:*** efficiency vs independence.

In the news · Saarthi IAS CA, Aug 2026 (verify) ***NSE and RTI:*** SC stayed a Delhi HC order that held NSE a public authority. ***Hook:*** "substantially financed" is undefined (BCCI, parties, DIAL).

Recall drill: cover and answer

First RTI law	Sweden 1766; USA 1966
Constitutional articles	19(1)(a), 21, 39(b), 39(c)
Who drafted the RTI Bill 2005	National Advisory Council
Absolute exemption	copyright of a non-State person
2019 Amendment effect	Centre fixes tenure and pay; CIC statutory

CIC · RTI ISSUES · IMPACT · 2nd ARC

PYQ Mains 2020 (RTI amendment and independence of Commission) · Handout MI pp. 36-38

✎ *The CIC is the RTI's appeal body. Its biggest problems are pendency, weak penalties and awareness. The 2nd ARC gave a fix for each.*

CENTRAL INFORMATION COMMISSION

1+10 · 3/65 · 5 — **1 CIC + up to 10 ICs** · term **3 years or age 65**, earlier one · no reappointment · IC elevated to CIC: total **max 5 years**.

Appointment

→ by the **President** on a committee: **PM (Chair), Leader of Opposition (LS), a Union Cabinet Minister nominated by PM**
→ eminent in law, science, social service, journalism, media, administration
→ no office of profit, party link, business

Pay (Rules 2019): delinked from CEC/EC parity · **CIC Rs 2,50,000, IC Rs 2,25,000** a month.

Removal

→ **proved misbehaviour or incapacity** after **Supreme Court inquiry** (President's reference)
→ without SC inquiry: insolvency · moral turpitude conviction · paid job · unfit in body or mind · prejudicial financial interest

BICEP — Without SC inquiry: **B**ankrupt · **I**nfirm · **C**onvicted (moral turpitude) · **E**mployed (paid) · **P**rejudicial financial interest. (own mnemonic)

ISSUES AND CHALLENGES

Gaps

→ RTI is a means; access is the end
→ bureaucratic mindset; **no specific budget** (2nd ARC: 1% of flagship funds)
→ low awareness (APWC: 12% women, 26% men, 13% rural, 33% urban)
→ ICs mostly **retired bureaucrats**; vague terms

Enforcement

→ **penalty not imposed in 95%** of due cases (Satark Nagrik Sangathan)
→ no organic CIC-SIC link; juniors made PIOs without incentive
→ poor record keeping; **abuse of Schedule II**
→ IC orders unimplemented: no contempt powers

Pendency

→ **40-60 lakh** requests a year
→ **2.55 lakh** pending in 26 ICs; vacancies; disposal **1 yr 11 months**; COVID worsened
→ **21 of 29** ICs filed no 2019-20 report; AP, Telangana none since 2017; Odisha since 2015-16
→ media and activists less interested

Impact: also a grievance tool · exposed corruption, scams, recruitment marks · rural access via NGOs · aided Right to Food and Education · works for **personally relevant** info, less for controversial public-interest info.

2nd ARC RECOMMENDATIONS

Secrecy

→ ***repeal Official Secrets Act***
→ oath of secrecy → ***oath of transparency***
→ review Second Schedule
→ ***Public Records Act 1993:*** 5-year declassification review

Classification	Damage
Top Secret	exceptionally grave
Secret	serious
Confidential	simple
Restricted	official use only

Structure and access

→ selection: ***CJI replaces Cabinet Minister***; at least half of ICs from non-civil-service background
→ 4 regional CIC offices; nodal PIO; PIOs at least ***Deputy Secretary/Director***
→ payment by stamps, postal orders; district single-window; free print suo motu
→ independent public records office; ***1% of flagship funds for 5 years***; training beyond PIOs; NGOs for awareness
→ ***"substantially financed" = 50% of operating costs for 3 years or at least Rs 1 crore***; check frivolous complaints

Recall drill: cover and answer

CIC strength	1 CIC + up to 10 ICs
Term and age	3 years or 65
CIC / IC pay	Rs 2.5 lakh / Rs 2.25 lakh
Penalty gap	not imposed in 95% of due cases
2nd ARC definition	substantially financed = 50% operating cost 3 yrs or Rs 1 crore

THE PROBLEM OF CORRUPTION

PYQ Mains 2016 · 2019 · 2014 · Handout M2 · Corruption

✎ *Corruption is misuse of public power for private gain. Learn the types, why it happens, what it costs and how it is measured, each with an example.*

As old as civilisation: Kautilya's Arthashastra lists ways a civil servant can be corrupt and the checks. ***TI definition:*** private abuse of public office. ***Elephant Test:*** hard to define, yet society knows it.

Defining issues

→ ***Is a gift a bribe?*** intent · expectation · timing · value · law · social acceptance
→ ***Culture:*** old school ties (UK) · regulated lobbying (USA) · ***Blat*** (Russia) · ***Guanxi*** (China)
→ ***Public only or private too?*** wide net dilutes focus; clean government shrinks private corruption

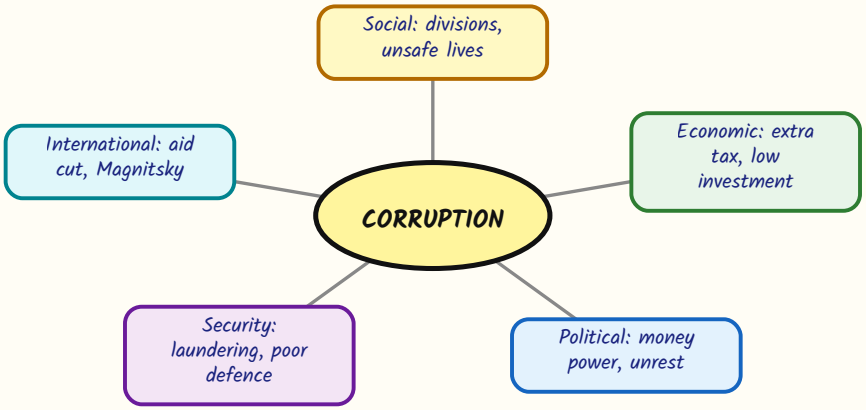
TYPES

Pair	Meaning
Black	whole society: intolerable
White	recognised yet tolerated (speed money)
Grey	society divided
Grass eating	will not seek, will not refuse
Meat eating	actively seeks
Coercive	official extorts the citizen
Collusive	both collude against public interest
Retail vs Policy	petty speed money vs state capture, crony capitalism

Behaviour that harms: lethargy · negligence · non-punctuality · subjective view of public interest · favouritism, nepotism · communalism, casteism, regional bias.

IMPLICATIONS PYQ 2016 PYQ 2019

FIVE FALLOUTS



SPIES – Corruption ***SPIES*** on the nation: ***S***ocial · ***P***olitical and legal · ***I***nternational · ***E***conomic · ***S***ecurity.

Revisionism (minority view): some corruption speeds a lethargic, low-paid bureaucracy. Reject for equity and rule of law.

WHY IT HAPPENS

APPLE — Corruption is the rotten **APPLE**; five kinds of factors rot it: **A**dministrative · **P**sycho-social · **P**olitical · **L**egal · **E**conomic.

HORNETS — Psycho-social stings: **H**istory (long past) · **O**pportunity theory (cut opportunities) · **R**eligious context (Protestant areas less corrupt) · **N**o popular sanction · **E**vils (dowry, lavish weddings) · THYMOS (need for respect; low self-worth, shaming) · **S**quirrel Nuts Syndrome (close to retirement).

Economic
- → poor pay at upper levels (pay alone not enough)
- → consumerism; ***licence-permit-quota raj → clearance raj***
- → MNCs bribing; firms outbidding each other

Legal
- → ***Art 311*** hard dismissal · ***PCA Sec 19*** sanction · ***CrPC Sec 197*** sanction (protect honest, misused)
- → delayed prosecution; no whistleblower law; weak CBI/CVC autonomy

THE SANCTION CHAIN

Single Directive: sanction for Joint Secretary and above → *Vineet Narain 1997: struck down* → *DSPE Sec 6A inserted* → *2014: Sec 6A struck down (equality)* → *PCA 2018, Sec 17A: permission for all except red-handed*

Administrative + Political
- → complex procedures breed middlemen; red tape; weak grievance machinery; politicised transfers; secrecy
- → no political will (Lokpal delays); criminalised politics; ***TINA***; election money; weak party-funding disclosure

MEASURING CORRUPTION

CPI — ***CPI*** by Transparency International · annual since ***1995*** · ***0 = most corrupt, 100 = cleanest.*** 2020 CPI: NZ and Denmark top; Somalia, South Sudan last; Bhutan 24, USA 25, Botswana 35, China 78, Pakistan 124 (as printed).

CPI critique: expert and business opinion · perception, not fact · sources change · country count varies, so ranks not comparable.

Other tools: Global Corruption Barometer (experience; India most corrupt of 17 Asian countries) · World Bank ***PETS*** · media content analysis · official data.

Recall drill: cover and answer

TI definition	private abuse of public office
Grass vs meat eating	accepts if offered vs actively seeks
Sanction chain	Single Directive → Narain → 6A → struck 2014 → 17A (2018)
CPI scale; since	0 corrupt to 100 clean; 1995
Mauro estimate	investment lower by up to 12%

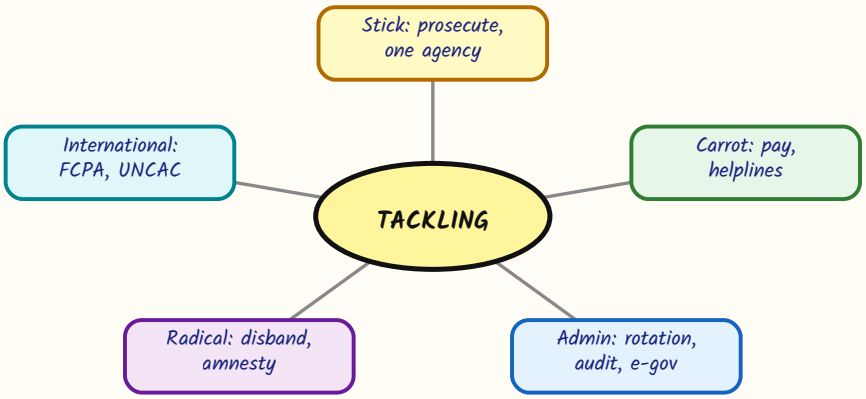
TACKLING CORRUPTION & SOCIAL AUDIT

PYQ Mains 2021 · 2016* · Handout M2 · Strategies

✎ *Corruption is a "wicked problem": it can be controlled, not removed. Use sticks, carrots, administrative fixes, radical ideas and citizen audit together.*

Wicked problem: PCA, Lokpal, CVC Act exist, yet corruption persists. More laws signal systemic inefficiency; aim to **control**, not eliminate.

TOOLKIT



SCAR-I – **S**tick (prosecution, stings, asset declaration) · **C**arrot (pay rise with enforcement, helplines) · **A**dministrative and technical (rotation, audit, procurement) · **R**adical (disband, gender balance, amnesty) · **I**nternational (FCPA, UK Bribery Act, OECD, UNCAC, FATF).

Stick

→ **Prosecution:** high conviction deters (Botswana); India: delays, light punishment; harsh China model needs rule of law
→ **Stings:** admissibility unclear; natural stings (citizen recordings) should count; Sweden strict
→ **Tighten laws** (2018 diluted PCA); **asset declaration** + lifestyle checks
→ **One strong agency:** Singapore **CPIB**, Hong Kong **ICAC** vs India's CVC, CBI, Lokpal, ED
→ **Shame/blacklist** (South Africa); **forfeit pensions**

Carrot

→ big pay rise + enforcement
→ **Delhi hotline** needs whistleblower and witness protection

Admin/tech

→ **Job rotation** (Kautilya)
→ **CAG** covers 25% of units yearly
→ Public Procurement Law (30% of GDP; **2012 bill lapsed**)
→ digitise; CCTV

Radical

→ **Disband** departments: Georgia traffic police 2004
→ **Gender balance**: Peru
→ **Monetise bribes**: Romania (controversial)
→ **Amnesty**: 50% surrender of black money (debated)

International: US **FCPA 1977** · UK **Bribery Act 2010** · **OECD Anti-Bribery 1997** · **UNCAC 2003** · **FATF 1989** · Interpol IGEC. **Critique:** West ignored corruption till 1990s; geopolitical tool; NGO vested interests; cultural imperialism. **Alternatives:** spiritual education; **Integrity Recognition Certificates** (keep apolitical).

SOCIAL AUDIT PYQ 2021

Definition: scheme details (finance and non-finance) shared on a public platform (***Jan Sunwai, Gram Sabha***), so people hold bureaucracy and Panchayat leaders accountable. ***Key: sound access to information.***

Features
- → multi-perspective
- → regular
- → comparative
- → ***strengthens demand side***

Significance
- → participation
- → benefits reach target
- → social capital
- → training needs
- → better programmes

Issues
- → outside mainstream policy; statutory in few schemes (***NREGA***)
- → few trained auditors; vested-interest opposition
- → ***Symptom vs cause***: audit layers (plague drive without sanitation)

MOST – Social audit hurdles: **M**ainstream policy discourse ignores it · **O**pposition from vested interests · **S**tatutory in very few programmes (NREGA) · **T**rained auditors lacking.

Strengthening
- → ***Legal:*** national law like ***Meghalaya 2017***; independent units (***AP SSAAT***); support CAG and PRIs
- → Gram Sabha awareness; auditor training; NGO, media; recognition; portals; unified guidelines
- → ***Chhattisgarh:*** audit linked to redress, wall writing · ***Karnataka:*** rotate teams every ***3 cycles***

Success story	Detail
AP MGNREGA (SSAAT)	autonomous, village resource persons, crores recovered, World Bank best practice
Jharkhand SAU	ghost beneficiaries exposed; ***SC Swaraj Abhiyan 2016*** appreciated
Rajasthan MKSS	jan sunwais → ***RTI Act 2005***
Bengaluru CRCs	report cards: bribery down (2003)
Municipal benchmarking	compare cost per km of road

In the news · Saarthi IAS CA, Jul/Aug 2026 (verify) ***Low Gram Sabha participation (NIRDPR study):*** barriers: livelihood and time (55.5%), exclusion of migrants, women, youth, elderly; trust fatigue. ***Impact:*** elite capture; social audits become a formality; Niyamgiri 2013 (12 Gram Sabhas rejected mining). ***Way:*** Action Taken Reports; off-peak meetings; Kudumbashree; ARC-II statutory powers.

Recall drill: cover and answer

Sustained approach	control, not eliminate: wicked problem
Single-agency models	Singapore CPIB, Hong Kong ICAC
Meghalaya	first social audit Act (2017)
Karnataka best practice	rotate audit teams after 3 cycles
Key to social audit	access to information

CBI & CVC

PYQ Mains 2021* · Handout M2 · Institutions

✎ *CBI investigates, CVC watches. Vineet Narain (1997) put the CVC over the CBI and gave the Director a fixed tenure.*

Legal framework

→ ***DSPE Act 1946*** (CBI) · RPA 1951 Sec 123 · ***PCA 1988*** · Benami Act 1988 · ***PMLA 2003*** · CVC Act · RTI 2005 · Lokayuktas · Lokpal 2013 · Whistleblower 2014
→ BNS Sec 203 (IPC 169) and Sec 316 (IPC 409), as printed
→ ***Bodies:*** CBI, CVC, state ACBs, CAG, Lokayuktas, Lokpal, ***ED*** (PMLA, FEMA), ombudsman, courts

CBI

HOW CBI GREW

Special Police Establishment, 1941 → DSPE Act 1946: statutory backing → Named CBI, 1963

Divisions: Anti-Corruption · Special Crimes · Economic Offences · Banking and Security Frauds.

Issues

→ ***"Caged parrot"*** politicisation; one-third posts vacant
→ ***conviction 67%*** vs 30–40% others; low in high-profile cases
→ sanction delays (PCA 19, CrPC 197)
→ ***no suo motu jurisdiction***

VINEET NARAIN 1997

SCATTER – **S**ingle Directive struck · **C**VC superintends CBI · **A**ppoint Director by committee (PM, LoP, CJI) · **T**enure 2 years · **T**ransfer by same committee · **E**xecutive (DoPT) sets only policy · **R**ecommendations binding on process. (own mnemonic)

Later: Director tenure extendable up to ***5 years in yearly steps*** by ordinance.

CVC

CVC TIMELINE

1962 Santhanam Committee → 1964 executive body → 2003 CVC Act: statutory

1+2 · 4 · 65 – ***1 Commissioner + up to 2 Vigilance Commissioners*** · term ***4 years*** · age ***65*** · no reappointment.

Selection

→ All India/Central Services and CPSU officers (at least one from each)
→ committee: ***PM, Home Minister, Leader of Opposition***
→ ***P.J. Thomas 2011:*** consensus, not majority

Terms

→ pay: CVC = UPSC Chairperson; VC = UPSC member; Consolidated Fund
→ barred from UT administrator, diplomatic posts, office of profit
→ removal: misbehaviour on ***SC reference***; plus insolvency, turpitude, private job, infirmity, financial interest

Functions

→ superintend CBI on corruption cases; inquire on Central reference or complaints against ***Group A, AIS and equivalent CPSU***
→ review DSPE probes and sanctions; vigilance in ministries; ***civil-court powers***
→ chairs committees for ***ED Director*** and ***CBI SP-and-above*** (not Director)
→ annual report to President, laid before Parliament

Issues: depends on politicised CBI · no own prosecution · sanction delays · poor civil-society engagement.

Suggestions: functional autonomy (ARC-II) · ***3-6 month*** sanction deadline (TI India: 70%+ pending >6 months, 2023) · binding recommendations · manpower (<50% sanctioned) · civil-society role (Korea ACRC) · wider panel.

Flag: CVC Selection Committee (PM, HM, LoP) differs from Lokpal (PM, Speaker, LoP, CJI, jurist).

Recall drill: cover and answer

CBI timeline	1941 SPE → 1946 Act → 1963 named CBI
CVC statutory	2003
Director committee	PM, LoP, CJI
CVC term; age	4 years; 65
Thomas case 2011	selection by consensus

LOKPAL IN INDIA

PYQ Mains 2013 · Handout M2 · Lokpal

✎ *The Lokpal is the ombudsman for central corruption cases. The Act is detailed, but the body has been slow and thinly used.*

1809	1967	1968	1971	2013	2019
Sweden ombudsman	UK Parliamentary Commissioner	India's first Lokpal Bill introduced	Maharashtra Lokayukta	Bill passed = Lokpal and Lokayuktas Act	Lokpal constituted: Justice P.C. Ghose

First ARC: two-tier: **Lokpal** (Secretary-rank and above, Union and State) and **Union Lokayukta** for lower officials; state Lokayuktas in states.

State experience

- → flooded complaints; weak effect; uneven powers
- → survives at government's will: **Odisha abolished 1992, Haryana 1999**
- → recommendatory "paper tigers"; misused against opponents

LOKPAL ACT 2013 PYQ 2013

9 · 25 · 45 · 5/70 — 9 members · **25** years' experience · min age **45** · term **5 years or 70**.

Composition

- → **Chairperson:** present or former CJI/SC judge or eminent person (25 yrs)
- → **8 members:** half judicial (SC judge/HC CJ), half non-judicial
- → **50% reserved:** SC, ST, OBC, minorities, women

Conditions

- → not MP/MLA/MLC; no local-body membership
- → not dismissed from service; no profit or business; no party

APPOINTMENT

Search committee of 7 shortlists (50% reserved) → *Selection committee: PM, Speaker, LoP, CJI or nominee, jurist* → *President appoints* → *No reappointment (except elevation within 5 years)*

COPES — Selection committee: **C**JI or nominated SC judge · **O**pposition leader (Lok Sabha) · **P**M (Chair) · **E**minent jurist (chosen by the four) · **S**peaker of Lok Sabha.

Pay: Chairperson = CJI; member = SC judge. **Disabilities:** as CVC plus **no election for 5 years. Wings:** Inquiry (Director), Prosecution (Director), Secretary.

PRIME MINISTER: IN OR OUT?

2nd ARC (against): cripples administration; foreign exploit; PCA covers PM.

For: CBI under DoPT/PM; set example; some Lokayuktas cover CMs; **Art 361** exempts only President and Governors.

PAISE — **Act:** PM is covered, but "the Lokpal cannot count the PM's **PAISE**": **P**ublic order · **A**tomic energy · **I**nternal security · **S**pace · **E**xternal security and international relations. Inquiry needs ***two-thirds of the full bench***.

JURISDICTION AND POWERS

Covers

→ PM, Union Ministers, MPs, ***Group A–D***, bodies funded above ***Rs 10 lakh*** a year
→ any individual may complain
→ Group C and D go to ***CVC***

FLOW OF A COMPLAINT

Preliminary inquiry (Inquiry Wing/CVC/CBI) in 60 days → *Hearing of public servant* → *Full investigation, departmental action, closure, or case against false complainant* → *Bench of 3+ decides sanction (replaces authority under CrPC 218, PCA 19)*

Powers: search, seizure, ***attachment***, civil-court powers, superintendence over CBI for referred cases. ***Removal:*** SC reference signed by ***100 MPs*** for misbehaviour; President for other grounds. Asset declarations; annual report; ***7-year limit*** on complaints.

ISSUES AND WAY FORWARD

Issues

→ wide jurisdiction; convoluted appointment; PM partly covered; 7-year limit; appointment delays
→ ***Since 2019:*** rules delayed, wings missing in 2020; 1,000 of 1,065 disposed (Sept 2019); complaints ***1,427 → 110 → 12*** (2019-20 → 2021-22 till Aug)

2nd ARC

→ ***constitutional status***
→ ***Rashtriya Lok Ayukta*** for Union ministers, MPs, CMs
→ State Lokayukta for state ministers/legislators
→ ***CVC*** for civil servants; ***Local Bodies Ombudsman***

Not a panacea: hydra-headed corruption; petty cases need departmental handling; weak judicial process; citizens unwilling to complain.

Recall drill: cover and answer

First Bill introduced; Bill passed (Act); Lokpal constituted	1968; 2013; 2019
Members; term	9; 5 years or 70
Prelim inquiry	60 days
Removal reference	SC, signed by 100 MPs
Limit on complaints	7 years

WHISTLEBLOWERS & PCA 1988

PYQ Mains 2015 · 2022 · Handout M2 · Laws

✎ *The 2014 Act protects people who report corruption but bars anonymous complaints. The PCA 2018 amendment makes giving a bribe an offence too.*

WHISTLE BLOWERS PROTECTION ACT 2014

PIDPI: anyone, any public body. Disclosure to the ***competent authority***. ***No anonymous complaints***. ***Frivolous complaint: 2 years jail***. CVC can direct protection. ***2015 bill*** (lapsed): Official Secrets Act 1923 to override.

Complaint about	*Goes to*
Union ministers	***Prime Minister***
State ministers	***Chief Minister***
Legislators	***Presiding Officer***
Civil servants	***CVC***

Challenges

- → ***no anonymity***: ***Satyendra Dubey*** (NHAI) murdered
- → weak implementation, awareness, protection from victimisation
- → complaints rising: 2018 over 3,500 to NSE-listed firms

SAFE — Law Commission + 2nd ARC: **S**trong law (public + private) · **A**nonymity and confidentiality · **F**ear removed (protection from harm) · **E**ncouragement (***SEBI reward up to Rs 1 crore***). (own mnemonic)

PREVENTION OF CORRUPTION ACT 1988 PYQ 2015 PYQ 2022

"Public servant"

- → govt pay or service; PSU staff; local bodies; judges
- → govt-funded cooperatives; PSC members
- → central and state universities; ***deemed universities (SC 2020)***
- → anyone performing public duty, including MPs and MLAs

PCA AMENDMENT 2018

BRIBE 7/3-7 — **B**ribe-giving an offence · **R**eport in 7 days (coercive) · **I**nclusive of retired (17A) · **B**usiness bodies liable · **E**xpedited trial 2 yrs (max 4) · jail ***3 to 7 years***. (own mnemonic)

Change	*Detail*
Giving a bribe	now an offence; coercive case: report within ***7 days***
Sec 17A; 13(1)(d)	17A extended to ***retired*** servants; 13(1)(d) ***diluted***
Jail; trial	***3 to 7 years***; trial ***2 years, up to 4***
Commercial organisations	liable; ***attachment/confiscation***

Recall drill: cover and answer

Anonymous complaints	not entertained
Frivolous complaint	2 years jail
Satyendra Dubey	NHAI whistleblower, murdered
PCA 2018 jail; trial	3-7 years; 2 years (max 4)
Coercive bribe report	within 7 days

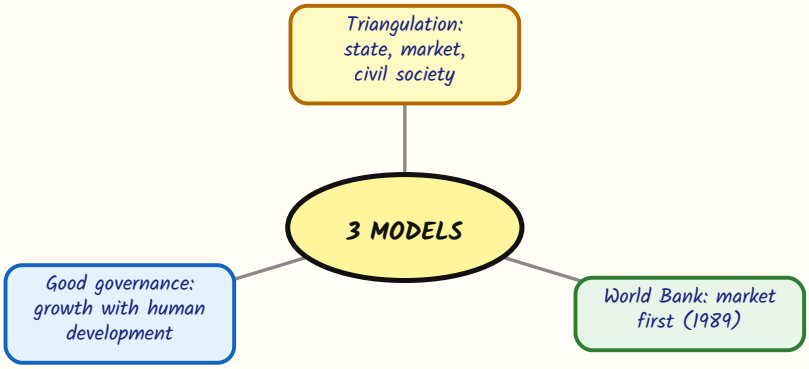
GOVERNANCE & GOOD GOVERNANCE

PYQ none quoted in the handout (2016 PYQ on effectiveness and participation sits with Ch II) · Handout GEG pp. 3-6

✎ *Governance = delivery of goods and services by state, market and civil society together. Good governance adds a purpose: fair, accountable, inclusive, sustainable. Know the three models and the frameworks (UNDP, DARPG, 4Es, WGI, GGI).*

Governance = comprehensive delivery of goods and services. The more it is researched, the more ambiguous it gets. Researchers agree on ***three models***.

THREE MODELS OF GOVERNANCE



Triangulation (network / third-party governance)

→ governance untied from government, placed in ***society***

→ ***State = 1st party, market = 2nd, civil society = 3rd***

→ they work alone or in combinations; e.g. ***State makes policy, market implements, credible NGO evaluates, feedback improves policy***

World Bank model

→ first set out in a World Bank paper on ***Sub-Saharan Africa, 1989***

→ market dominant; government only facilitator; civil society marginal

→ good governance = exercise of political power to manage a country's resources efficiently

→ features: accountability to market (predictable policy, lower deficit) · transparency for business (ease of doing business) · empowerment by e-gov and m-gov, not rights · participation as producer and consumer, not citizen

Critique: replaces politics with management: "a democracy without politics and citizenship without rights" = ***soft authoritarianism***.

STATE vs MARKET

Market problems

→ serves ***consumers*** who pay; state serves ***citizens***

→ avoids loss-making (remote train, rural bank branch)

→ 2008 crisis: unregulated finance

→ crony capitalism; environmental harm

→ external affairs, defence, law and order cannot be outsourced

Strong market needs strong state

→ manage public order

→ manage social conflict

→ level playing field

→ sanctity of contract

Real issue: not shrinking the state, but replacing the "bourgeoisie-feudal-bureaucratic" state with a genuinely democratic one (handout).

GOOD GOVERNANCE MODEL

SMART — Teacher's: **S**imple · **M**oral · **A**ccountable · **R**esponsive · **T**ransparent government.

Features: social justice · rule of law with equitable access to justice · SMART government · space for community organisations · empowered local bodies · sustainable development · socially responsible market economy · popular participation.

UNDP characteristic (8)	Indian example
Participation	MyGov, Gram Sabha, social audits
Consensus orientation	Inter-State Council, NITI Aayog Governing Council
Rule of law	IBC 2016; Fugitive Economic Offenders Act 2018
Transparency	RTI Act 2005; Sec 4 proactive disclosure
Responsiveness	PRAGATI, CPGRAMS
Accountability	CAG audits, Lokpal, social audits
Effectiveness and efficiency	DBT, ONDC
Equity and inclusiveness	Nari Shakti Vandan Adhiniyam 2023; Aspirational Districts

PCR TARE — UNDP eight: **P**articipation · **C**onsensus · **R**ule of law · **T**ransparency · **A**ccountability · **R**esponsiveness · **E**ffectiveness-efficiency · **E**quity-inclusiveness. (own mnemonic)

DARPG dimension (5)	Focus and example
Political	participation, trust; 73rd and 74th Amendments
Legal and Judicial	rule of law, access to justice; fast-track courts, e-Courts MMP
Administrative	efficient, transparent delivery; RTI, e-governance
Economic	stability, regulation, ease of business; IBC 2016
Social and Environmental	welfare, sustainability; POSHAN, Ecologically Sensitive Zones

PLAES — DARPG five: **P**olitical · **L**egal-judicial · **A**dministrative · **E**conomic · **S**ocial-environmental. (own mnemonic)

4Es (teacher's): **Ethics** (honesty, integrity) · **Efficiency** (results, least waste) · **Equity** (fair opportunities) · **Ethos** (public-service values, citizen-centric).

CONSTITUTIONAL VISION

No phrase "good governance", but the base is there

- → **Preamble:** justice, liberty, equality, fraternity
- → **DPSP:** Arts 38, 39, 41, 47 (welfare, lower inequality, living standards)
- → **FRs:** Arts 14, 19, 21
- → **Art 50:** separate judiciary from executive
- → **Parts IX and IXA:** Panchayats and Municipalities

Judicial contributions: **Vineet Narain 1997** (institutional accountability, independence of investigators) · **Anjali Bhardwaj 2019** (timely appointments to Information Commissions).

INDICES OF GOVERNANCE

Index	By	Handout position
WGI	World Bank	India better in Government Effectiveness than Voice and Accountability
CPI	Transparency International	**96th of 180** (2024), score 38
GGI	DARPG	GGI 2020-21 led by Gujarat, Maharashtra, Goa
SDG India Index	NITI Aayog	2023-24: Kerala and Uttarakhand joint top

WGI six: Voice and Accountability · Political Stability and Absence of Violence · Government Effectiveness · Regulatory Quality · Rule of Law · Control of Corruption. **GGI:** launched by DARPG on **25 Dec 2019**; **10 sectors, 58 indicators**; compares States and UTs.

Check: the CPI rank "96th" was split across a line break in the handout (reads "9 … 6th"). I read it as 96th; please confirm.

Recall drill: cover and answer

Three models	triangulation, World Bank, good governance
Triangulation parties	state 1st, market 2nd, civil society 3rd
World Bank model paper	Sub-Saharan Africa, 1989
SMART	Simple, Moral, Accountable, Responsive, Transparent
GGI launch	25 Dec 2019 by DARPG; 10 sectors

PEOPLE'S PARTICIPATION & LOCAL SELF-GOVERNMENT

PYQ none quoted in the handout · Handout GEG pp. 7–9

✎ *Participation goes beyond voting: people shape and watch the work. It needs social capital, equality and strong local bodies, and it is blocked by caste, class, gender and powerlessness.*

Participation goes beyond voting. A person truly participates when his issues get addressed (e.g. ***Mohalla committees***). The handout: the right to participate should be a fundamental right where daily life is affected.

Benefits

- → more information; check fit with ground reality; less policy failure
- → social acceptance and ownership; sustainable projects
- → ***two-way learning***; government burden falls, people's role rises
- → capacity building; vigilance, less pilferage and corruption
- → community feeling, social capital; volunteer resources

Pre-requisites

- → basic ***social capital***
- → equality of wealth and power
- → local self-government
- → procedural reform

Barriers

- → ***caste:*** upper castes dominate
- → ***class:*** landed control
- → ***gender:*** male-dominated Gram Sabhas
- → powerlessness; low capacity; no decentralisation

CCG LPC — Barriers: **C**aste · **C**lass · **G**ender · **L**ack of motivation · **P**olitical constraints · **C**apacity gap. (own mnemonic)

URBAN LOCAL BODIES

74th Amendment: ULBs lack the ***3Fs***: functions, finances, functionaries (teacher's). Municipal own revenue ***below 1% of GDP*** (RBI 2024) vs South Africa ~6%. States hold control; capacity is weak.

Reforms

- → ***State Finance Commissions:*** timely reports, clear devolution formula (2nd ARC, 13th FC)
- → ***Model Municipal Law*** for planning, water, sanitation, health
- → e-municipality; GIS revenue mapping (BBMP Bengaluru)
- → municipal bonds, user fees, property-tax reform (Pune, Hyderabad: tax base up 40%)
- → ***Ward Committees and Area Sabhas*** (74th Amendment)

Best practice	Detail
Ahmedabad Municipal Corporation	India's first municipal bond, ***1998***
Pune	GIS property tax: ***35%*** more revenue
Delhi Mohalla Sabhas	pilot ward participatory budgeting; needs scale and legal backing

GRAM SABHAS

73rd Amendment: Gram Sabha is the base of grassroots democracy but under-used: attendance ***below 15%*** in many states (MoPR survey 2023); resolutions only ***recommendatory***; PRIs lack training.

Way forward

- → ***statutory backing*** to resolutions, especially planning and MGNREGA audits
- → ***e-GramSwaraj*** to track attendance and decisions
- → reserved slots for women, SC/ST, SHG members (Kerala People's Plan)
- → Gram Sabha-led social audits
- → ***Panchayat Resource Centres*** for training

Practice / report	*Detail*
Jharkhand Social Audit Unit	MGNREGA audits exposed over ***Rs 18 crore*** irregularities
Kerala People's Plan Campaign	Gram Sabhas drew local plans
Chhattisgarh Jan-Choupal	Gram Sabha grievance and planning forums
13th Finance Commission	performance-linked grants for PRIs
Bhuria Committee 1995	Gram Sabha central in tribal self-governance
MoPR 2024	irregular Gram Sabhas in ***60%*** of surveyed villages

MINIMUM GOVERNMENT, MAXIMUM GOVERNANCE

Not less bureaucracy but better bureaucracy. Components: drop crippling regulation · cut discretion · goals over rules · facilitate business and civil society · effective accountability. ***Steps:*** self-certification instead of gazetted-officer attestation · remove obsolete rules · labour-law changes against inspector raj · single window · e-governance.

Link · Saarthi IAS CA (verify) Low Gram Sabha participation (NIRDPR study) is covered in Chapter 16: barriers, elite capture and ARC-II suggestions.

Recall drill: cover and answer

Beyond voting example	Mohalla committees
3Fs of ULBs	functions, finances, functionaries
Municipal revenue	below 1% of GDP (RBI 2024)
First municipal bond	Ahmedabad, 1998
Gram Sabha attendance	below 15% in many states (MoPR 2023)

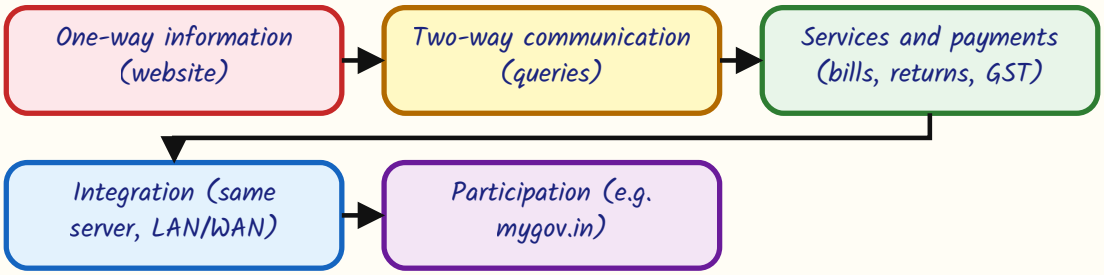
E-GOVERNANCE

PYQ Mains 2025 · 2024 · 2023 · 2021 · 2020* · 2019 · 2018 · 2013 · Handout GEG pp. 9–14

✎ *E-government digitises the government's own work. E-governance uses ICT to deliver services through state, market and civil society together. Learn stages, four models, ten benefits, and the issues (divide, trust, no re-engineering).*

E-Government	E-Governance
more efficient government through ICT in ***its own internal processes***	based on the ***triangulation model***: delivery of goods and services using synergy of state, market, civil society, with ICT as platform

FIVE STAGES (in order)



FOUR MODELS PYQ 2024

Model	Idea
Broadcasting	flow of information rises; informed, empowered citizens
Critical Information Flow	farmer gets weather, pesticide, mandi price in one click
E-Mobilisation	mobilise and protest virtually; citizen-to-citizen engagement
Interactive Service	services at a button; pay bills without queues; B2C, B2B, G2B

BCEI — Four models in handout order: **B**roadcasting · **C**ritical information flow · **E**-mobilisation · **I**nteractive service. (own mnemonic)

BENEFITS (ten)

Benefits

→ ***1 Administration:*** e-files cut delay; team work; backups (Adarsh Society documents were destroyed); less paper, carbon, space, manpower

→ ***2 Data for decisions:*** Vikas Darpan (Rajasthan GIS); CPGRAMS analytics

→ ***3 Service delivery:*** e-FIR (Delhi); land records; utility bills; ME-SEVA (Andhra); FRIENDS (Kerala)

→ ***4 Lower cost and time***; ***5 Process re-engineering*** (NIC)

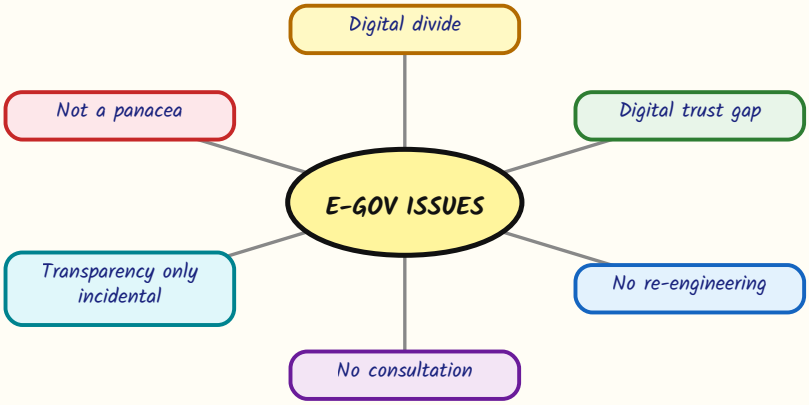
→ ***6 24x7 access***; ***7 Transparency*** (no physical interface)

→ ***8 Democracy:*** citizen mobilisation, EVM; ***9 Judiciary:*** video-conferencing, judicial data grid

→ ***10 Revenue:*** digital payments shrink black money

ISSUES PYQ 2023 PYQ 2021 PYQ 2019

WHAT HOLDS E-GOVERNANCE BACK



Digital divide: mirrors urban-rural divide (COVID classes on Zoom for urban middle class; rural students excluded); lost income opportunities, telemedicine, elderly vulnerable; vernacular content lacking; ***last-mile connectivity***.

6 C's — Teacher's ***6 C's of work plan:*** **C**ontent development · **C**ompetence building · **C**onnectivity (rural) · **C**itizen's interface (affordable, accessible) · **C**yber laws (tech-agnostic, privacy balance) · **C**apital (revenue streams; reasonable charges).

No re-engineering: process not simplified first; corruption points block digitisation.

No consultation: shifted online without asking stakeholders. ***Corruption dip is incidental:*** design for accountability and transparency.

E-governance helps	*But it cannot*
smart classes, online assignments	build enough schools and teachers
traffic signals, CCTV challans	fix congestion, flyovers, road quality
judicial data, case status	give speedy justice
easy tax payment	ensure accountability of development spending

Big data ("new oil"): brings data security, privacy and unethical use. ***PYQ hooks:*** 2025 tech bias vs user-centric design · 2024 Interactive Service Model · 2018 "use value" of information · 2013 electronic cash transfer (DBT).

Recall drill: cover and answer

E-government vs e-governance	internal efficiency vs state-market-civil society delivery
Five stages	info, two-way, transactions, integration, participation
Four models	broadcasting, critical info flow, e-mobilisation, interactive service
Digital divide statistic	75% of net users urban
Six C's	content, competence, connectivity, citizen interface, cyber laws, capital

DATA PROTECTION, PRIVACY & CYBERSECURITY

PYQ none quoted in the handout · Handout GEG pp. 15–20

✎ *Data is the new oil, and also a liability. India moved from IT Rules 2011 → Puttaswamy 2017 → Srikrishna Committee → PDP Bill 2019 (a Bill) → Digital Personal Data Protection Act 2023 (an Act). Keep Bill and Act apart.*

India: about **800 million** internet users, **400 million** smartphone users, **150 exabytes** of data a year (handout). Strategic asset and liability. **132 of 194** countries have data-protection frameworks.

ISSUES IN THE DATA ECOSYSTEM

Issues

- → ***security and privacy:*** over-regulation stifles, lax rules erode trust
- → ***cross-border compatibility;*** uniform vs sector-specific; government exemptions
- → ***medico-legal:*** breach causes stress, depression, PTSD
- → ***bots and fake accounts*** (NYT: 48 million fake Twitter accounts)
- → ***social media abuse*** by extremists (ISIS); privacy vs security

DATA LOCALISATION

Hard: data may not leave the country. ***Soft:*** stored locally, conditional cross-border sharing.

SLIPB – Benefits: **S**ecurity (national) · **L**aw enforcement access · **I**ndia's own privacy rules apply · **P**rivacy grievance in Indian courts · **B**argaining power. (own mnemonic)

LEGAL PATH (in order)

2000 / 2011
IT Act 2000; IT Rules 2011 (sensitive personal data): inadequate

2017
Puttaswamy: privacy is a Fundamental Right; Justice B.N. Srikrishna Committee formed

2018
Srikrishna report

2019
PDP Bill 2019 (a Bill)

2023
DPDP Act, 2023 (an Act)

Bill vs Act: PDP Bill 2019 was only a Bill (handout: Departmental Standing Committee; a JPC examined it and it was withdrawn in 2022: general knowledge, verify). Law in force: ***DPDP Act 2023***.

GDPR (EU, 2018)

- → ***informed consent***; fight consent fatigue
- → ***breach notification*** at once
- → right to ***opt out of automated decisions*** (profiling)
- → citizen awareness drive

SHARP-DD – Principles: **S**tructured enforcement · **H**olistic cover (private + govt) · **A**gnostic technology · **R**esponsible fiduciary · **P**urpose-limited minimisation · **D**eterrent penalties · **D**ata consent (informed). (own mnemonic)

PDP BILL 2019 (provisions of the Bill)

Bill provisions

→ ***applies to:*** government, Indian companies, foreign companies handling Indians' data

→ ***sensitive data:*** financial, biometric, caste, religious/political belief

→ ***data fiduciary:*** decides means and purpose; security safeguards, grievance redress, age verification and parental consent for children

→ ***rights:*** confirmation, correction, portability, restrict disclosure

→ ***no consent needed:*** state benefits, legal proceedings, medical emergency

→ ***Authority:*** chair + 6 members (10 years expertise); appeal to tribunal then SC

→ ***transfer abroad:*** sensitive data only with explicit consent and stored in India; ***critical data*** processed only in India

→ ***penalty:*** Rs 15 crore or 4% turnover; audit failure Rs 5 crore or 2%; re-identification up to 3 years

DPDP ACT 2023

Provision	Detail
Scope	digital personal data in India and extraterritorial for goods/services offered in India
Consent	informed and explicit
Children	government can lower age of consent
Cross-border	"blacklisting" approach, not blanket bar
Social media	Significant Data Fiduciaries must enable user verification
Exemptions	selective, for security and law enforcement
Enforcement	***Data Protection Board of India***

Challenges: vague State exemptions · weak Board (autonomy, resources) · compliance burden on start-ups · friction in international data sharing.

CYBERSECURITY

Incidents: UIDAI Aadhaar data leak ***2018*** · Kudankulam plant breach (Lazarus Group) ***2019*** · AIIMS Delhi ransomware ***2022***.

Initiatives

→ ***CERT-In*** (nodal agency, under MeitY)

→ ***National Cyber Security Policy 2013***

→ Cyber Swachhta Kendra (botnets, malware)

→ ISEA programme (awareness)

→ Cyber Surakshit Bharat (public-private resilience)

Way forward: expand CERT-In and I4C; consider a dedicated Cybersecurity Authority; enforce DPDP Act; PPP hubs; cyber education; indigenous R&D (DRDO).

Recall drill: cover and answer

Right to privacy case	Puttaswamy 2017: Fundamental Right
Srikrishna report; first Bill	2018; PDP Bill 2019
Law now in force	DPDP Act, 2023
Hard vs soft localisation	never leaves vs conditional sharing
CERT-In falls under	MeitY

EMERGING TECH IN GOVERNANCE: BLOCKCHAIN · AI · DPI

PYQ Mains 2020* (Fourth Industrial Revolution and e-governance) · Handout GEG pp. 20-24

✎ *New tools (blockchain, AI, DPI) widen what government can do, and bring risks (deepfakes, content regulation, privacy). For each: what, example, challenge, way forward.*

BLOCKCHAIN

Promise: transparency, immutability, decentralised trust. ***CBDC (Digital Rupee)*** by RBI. Telangana and Maharashtra pilot blockchain for property registration and academic records; TRAI and SEBI exploring.

Case	*Impact*
NFTs for land mutation (West Bengal)	streamlined records, no manual process
Tamil Nadu Blockchain Backbone	secure digital wallet of citizen documents
Firozabad grievance system (UP)	transparent redress by blockchain verification

Challenges: scalability and energy use · no legal recognition of blockchain records · privacy on public chains.

Way: law like ***Estonia*** · ***permissioned*** chains for government · capacity building, sandbox (Dubai).

AI AND GOVERNANCE (4IR) PYQ 2020*

Uses

→ service delivery: Railways' "Ideal Train Profile"
→ healthcare, education: telemedicine, NITI Aayog cancer image database
→ agriculture: AI pest control; ***Bhashini*** for language inclusion

National initiatives

→ ***IndiaAI Mission:*** indigenous AI infrastructure, ***10,000 GPUs***
→ ***BharatGen:*** multilingual AI models
→ global: GPAI, US-India AI partnership

AI challenge	*Solution*
fragmented data	National Data Governance Policy; open, interoperable data
no AI-specific law	AI regulation with ethical oversight
skill deficit	training, especially rural
privacy, security	enforce DPDP Act; localisation

DEEPFAKES

Current law: IT Act 2000 Secs ***66C, 66E, 67, 67A*** + IPC (defamation, obscenity, forgery). ***IT Rules 2021:*** takedown within ***36 hours***. ***2023 advisory:*** intermediaries to take down and educate users; future IT Rules amendments.

Impact

→ election misinformation
→ fabricated military or government messages
→ impersonation fraud
→ loss of public trust

Way: platform detection tools (Microsoft Video Authenticator) · blockchain verification · a ***Digital India Act*** (proposed) · media literacy.

OTT AND CONTENT REGULATION

Why and how

→ ***424 million*** OTT users (2022); obscenity, minors, data breach
→ ***Digital Media Ethics Code:*** ratings ***U, UA 7+, 13+, 16+, A*** and parental controls
→ ***three-tier grievance:*** publisher, self-regulatory body, government oversight
→ align digital news with Press Council and Cable TV codes
→ way: fast-track DPDP; common regulator (Singapore); regional-language age tags; independent audits

DIGITAL PUBLIC INFRASTRUCTURE (DPI)

DPI: open-source, interoperable platforms for mass service delivery. ***India Stack:*** Aadhaar, UPI, DigiLocker. Also ***ONDC, Open Health Stack, NDEAR*** (education; DIKSHA).

Platform	***Purpose***
Aadhaar	digital identity, presenceless authentication
UPI	real-time interoperable payments
DigiLocker	paperless documents
ONDC	open digital commerce
Open Health Stack	secure health-data sharing
NDEAR	national digital education architecture (DIKSHA)

Significance

→ ***~80%*** financial inclusion in 6 years (expected 46 years)
→ DPI may add ***2.9–4.2%*** of GDP by 2030 (path to $8 trillion economy)
→ CSCs extend Digital India to remote areas
→ ***AP ICJS 2.0:*** police, forensics, courts, prisons digitised with AI

Challenges and way

→ divide: ***70%*** lacks reliable rural connectivity · trust and privacy gaps · state capacity ("intelligent customers") · uneven states (MP: 0.9% of schools have digital libraries vs 6.1% national)
→ way: ***National Broadband Mission 2.0***, PMGDISHA-type literacy · data-trust mechanisms from design · hybrid institutions · PPP and open source · DPI for power, education, health

Recall drill: cover and answer

IT Rules 2021 takedown time	36 hours
IndiaAI Mission GPUs	10,000
Media rating labels	U, UA 7+, 13+, 16+, A
India Stack	Aadhaar, UPI, DigiLocker
DPI GDP estimate	2.9–4.2% by 2030

CIVIL SOCIETY & NGOs

PYQ Mains 2025 (anti-State?) · 2023 · 2021 · 2016 · 2015 (NGOs and environment) · Handout CS pp. 3-9

✎ *When the state and the market both fail, people organise on their own: civil society, the third sector. NGOs are its main face. Know the features, the four generations, the roles and the problems.*

Forum	Strength	Weakness
State (1st sector)	welfare, policy, legitimacy till 1991	overcapitalised; nanny state; rule-driven; corruption
Market (2nd)	efficient delivery	profit-driven, user-pays, excludes poor; merit goods neglected
Civil society (3rd)	voluntary, collective, autonomous	no universal definition

Civil society = people organising themselves outside state and market: an intermediate space; the "fifth estate" (after legislature, executive, judiciary, media). Voluntary · collective interest · autonomous · shared values · does ***not seek formal power. Political parties and media are kept out.*** A mafia is not civil society.

Why civil society grew

→ developmental failure of state and market
→ societal learning (skill, will to organise)
→ rise of the governance paradigm
→ rejection of the ***instrumentalist*** state: people-centric, not state-centric
→ globalisation and information age
→ colour revolutions (1990s ex-Soviet republics), Arab Spring

COMPONENTS AND SIGNIFICANCE

Components

→ ***people-serving*** (Human Rights Watch, ADR) vs ***member-serving*** (pressure groups)
→ traditional (caste, religion, ethnicity); representative (trade, student, peasant unions)
→ interest groups: SHGs, pressure groups; philanthropic (Ramakrishna Mission), advocacy (PETA)
→ socio-cultural clubs; professional (BCI, IMA); social movements (India Against Corruption)
→ ***NGOs:*** private, not-for-profit, voluntary, self-governing · ***CBOs:*** grassroots, local need

Significance

→ supplements, complements, questions, confronts, substitutes
→ civil liberties: HRW, Amnesty, PUCL
→ transparency: ADR, Transparency International
→ social audits; training ground for leaders
→ technical support: CPR, IDSA, FICCI

SAFE-SCAN — Own anchor for significance: **S**upplement · **A**dvocacy · **F**reedoms defended · **E**valuate (audit) · **S**upport (technical) · **C**ontrol of state power · **A**ccountability · **N**ew leaders. (own mnemonic)

ANTI-STATE OR NON-STATE? PYQ 2025

Non-State, not anti-State: criticism is not opposition; dissent and watchdog work strengthen accountability. Blanket suspicion silences the voiceless.

Concern is real but overextended: a few misuse funds, so ***proportionate, transparent regulation*** (ARC-II view for FCRA) is fine; blanket restriction is not.

Way forward: treat non-state actors as partners · reform FCRA toward proportionality · SHG 2.0 (rising NPAs) · modernise cooperatives (PACS computerisation, Model Cooperative Societies Act, Ministry of Cooperation) · formal consultation for pressure groups · risk-based regulation.

SOCIAL CAPITAL AND LEGAL BASE

Social capital = power of the collective. Two pillars: ***trust and reciprocity***. Productive like financial capital, everywhere, unlimited (financial is finite).

Basis	Provision
Art 19(1)(c)	right to form associations, unions, cooperatives
Art 43B	promote cooperatives
Part IX-B	cooperatives
State List 32	cooperatives (multistate: Centre)
Concurrent List 10, 28	trusts; charities, endowments

NGO features

→ voluntary; self-governed (ideally democratic); autonomous
→ legal entity (trust, society, cooperative, not-for-profit company)
→ written constitution; definite aims; structure
→ mobilise resources; accounts and audit; evaluation
→ government funds give certainty and outreach

ROLES AND GENERATIONS

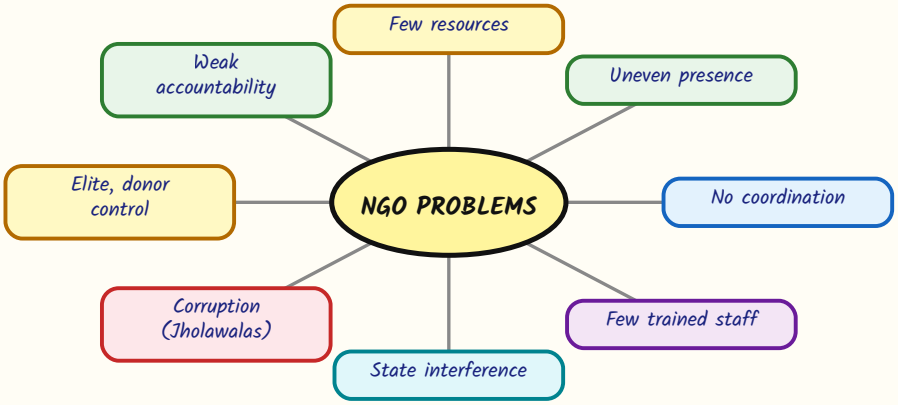
MM CESIE — Roles: **M**ediatory · **M**obilising · **C**onsultative · **E**ducational (SEWA, Ela Bhatt, 1970s) · **S**upplementary (last mile) · **I**nnovation · **E**fficiency (goal-driven vs rule-driven); plus leadership role (eyes and ears of government), highlight loopholes, accountability, informed dissent. (own mnemonic)

Generation	Problem seen	Scope
1st relief and welfare	shortage	individuals, families
2nd community development (1970s)	local inertia	village, district
3rd sustainable systems	institutional and policy constraints; activism, media	region, nation
4th hybrid, movements	lack of a mobilising vision	national and international

RCDM — Generations in order: **R**elief · **C**ommunity · **D**evelopment-system · **M**ovement. (sequence kept) (own mnemonic)

PROBLEMS OF NGOs PYQ 2021 PYQ 2015

EIGHT FRICTIONS



Detail: Niyamgiri-Vedanta drew excess attention while others are neglected; N. Vittal named "Jholawalas" among corruption players; pre-1991 closed economy limited donations. Registered under Trusts, Societies, Charities, Not-for-Profit Companies: fragmented oversight; RWAs and SHGs unregistered. Governments in weak democracies see NGOs as threats for dissent.

Recall drill: cover and answer

Civil society is the	third sector, "fifth estate"
Excluded from civil society	political parties and media
Two pillars of social capital	trust and reciprocity
Four NGO generations	relief, community, system, hybrid movement
Art 19(1)(c)	form associations, unions, cooperatives

FCRA · REGULATING NGOs · DONOR AGENCIES

PYQ Mains 2015 (FCRA) · 2024 (charitable trusts) · 2022 (donor agencies) · Handout CS pp. 9-12

✎ *The state has tightened control of foreign funding step by step: FCRA 1976 → FCRA 2010 → Amendment Act 2020 → an Amendment Bill 2026 that is still only a Bill. Know which are Acts and which is a Bill.*

1976 **FCRA 1976** enacted under Indira Gandhi (fear of foreign influence)

1982 Kudal Commission on foreign funding; report not made public

2010 **FCRA, 2010** main framework (MHA)

2013 Lokpal Act 2013 covers NGOs with substantial foreign contribution

2014 leaked IB report: foreign-funded NGOs opposing Kudankulam, uranium, POSCO, Vedanta (media reports)

2020 **FCRA (Amendment) Act, 2020**

2022 Noel Harper v UoI upholds 2020 provisions

2026 **FCRA Amendment Bill, 2026**: still a Bill, with a JPC

Act vs Bill: FCRA 1976, 2010 and the 2020 Amendment are **Acts**. The 2026 measure is a **Bill referred to a Joint Parliamentary Committee**, so it is not law yet (handout wording).

FCRA, 2010

FCRA 2010 (MHA)

→ regulates foreign contribution to individuals, associations, NGOs, trusts
→ **two routes: Registration** (fixed period, renewable) and **Prior Permission** (specific purpose and source)
→ allowed fields: cultural, economic, educational, religious, social
→ **barred recipients:** political parties, election candidates, public servants, organisations of a political nature
→ MHA can suspend or cancel; annual returns and accounts

Concerns: complex registration and renewal · vague "political nature" · suspension and cancellation · compliance load · admin spend cut by 2020. **FCRA Rules:** office-bearers declare on religious conversion, sedition, violence; foreign hospitality covered.

FCRA (Amendment) Act, 2020	Change
Public servants	cannot receive foreign contribution
Transfer	cannot pass it to another person or entity
Administrative expenditure	**50% → 20%**
Suspension	maximum **180 → 360 days**
Aadhaar	mandatory for key office-bearers
Account	first into designated FCRA account, **SBI New Delhi Main Branch**

PTAS-AD — 2020 changes: **P**ublic servants barred · **T**ransfer barred · **A**dmin cap 20% · **S**uspension 360 days · **A**adhaar · **D**esignated SBI account. (own mnemonic)

Noel Harper v Union of India (2022): SC upheld the major 2020 provisions; receiving foreign contribution is **not an absolute right**.

FCRA AMENDMENT BILL, 2026 (referred to JPC)

What the Bill proposes

→ certificate ***ceases*** if not renewed, no application made, or renewal rejected

→ ***Designated Authority*** for vesting, supervision, disposal of foreign contributions and assets after registration ends

→ ***provisional vesting*** (restored if revived); ***permanent vesting***, public use, proceeds to ***Consolidated Fund***

→ prior-permission funds received and used within a set period; religious character of worship places preserved

→ maximum jail for specified offences cut to ***one year from five***; ***prior Central approval*** before investigation

Significance: closes legal gap · stops regulatory avoidance · protects assets · transparency and anti-money-laundering · decriminalisation.

Concerns: non-renewal may cost assets · retrospective hit on older assets · unequal treatment (registration vs prior permission) · no hearing or appeal · central control of probes.

Balance and way forward: regulate to stop laundering, foreign political influence, diversion and security threats, but keep space for health, education, environment, relief. Give a ***statutory appeal*** · judicial safeguards before permanent vesting · ***clean exit*** from FCRA without forfeiture of legitimate assets · real-time digital disclosure on the FCRA portal · proportionate treatment of technical lapses. ***Conclusion:*** stronger executive power needs due process, proportionality and transparency.

CAN CIVIL SOCIETY REPLACE THE STATE? PYQ 2016

State functions not to outsource

→ defence; public order; external affairs

→ big societal problems: population policy, communalism, casteism

→ symbolic functions (Republic Day, Independence Day)

→ monetary, fiscal, EXIM, industrial policy

→ ***Verdict:*** one alternative forum, not a replacement for state or market

DONOR AGENCIES PYQ 2022

Against dependence

→ less community ownership (Narmada protests)

→ top-down policy (World Bank ICDS support)

→ bureaucratic procedures (MNREGA reporting delays)

→ weaker accountability, bypassed national oversight

For involvement

→ capacity building (UNDP water)

→ participatory planning (ADB Urban Climate Fund)

→ local knowledge (Sweden-SEWA)

→ global best practice: transparency, gender, environment

Recall drill: cover and answer

FCRA 1976 enacted by	Indira Gandhi government
Admin expenditure cap (2020)	50% → 20%
Max suspension (2020)	180 → 360 days
FCRA 2026 status	Bill with a JPC, not yet an Act
Noel Harper (2022)	foreign contribution not an absolute right

SELF-HELP GROUPS (SHGs)

PYQ Mains 2021 · 2020 · 2017 · 2015 · 2014 · 2013 · Handout CS pp. 12-17

✎ *An SHG is a small informal savings group, mostly rural women, that lends from its own corpus and later links to a bank. Social capital replaces collateral. NABARD started the bank-linkage programme in 1992.*

SHG: small, informal, **not legally registered**; ideally **10–20** poor women of similar background; regular (weekly) savings → loan corpus → lending for income, emergencies, production. A **savings-led microfinance model** on **self-help and collective responsibility** (peer pressure replaces collateral).

Bank link: a mature SHG deposits its corpus and gets a loan, generally at **1:4** deposit-to-credit (Rs 10,000 corpus → up to four times as loan).

Type	How it works
ROSCA (Rotating Savings and Credit Association)	kitty: pooled money goes to one member by draw of lots; rotates till the last member; cycle repeats
ASCA (Accumulated Savings and Credit Association)	no rotation; accumulated savings; loans by collective decision

SHG-BANK LINKAGE (SHG-BLP)

SHG-BLP

→ **NABARD, 1992**: principal self-help promoting agency
→ **Microfinance SHGs:** set up by financial institutions
→ **Microfinance Plus SHGs:** set up by government agencies and NGOs, with wider development aims
→ **SHPIs:** NABARD, RRBs, SCBs, NGOs, government agencies
→ **100+ million households**; **84%+** SHGs are women's

S-I-R-M-B — Teacher's **Panchsutra** (five regulars): **S**avings · **I**nternal lending · **R**epayment · **M**eetings · **B**ooks of account. (initials are my aid; the five points are the handout's) (own mnemonic)

NABARD tools

→ **Joint Liability Group:** whole group liable for repayment; introduced **2005-06**; affinity SHGs of similar skills
→ **NABFINS** (NABARD Financial Services Ltd): model microfinance institution
→ microfinance development programmes: skill building
→ **Livelihood and Enterprise Development: 15-30** SHGs in a cluster of adjacent villages; **3-6 months** handholding
→ **DAY-NRLM:** at least **one woman per poor rural household**; special focus on manual scavengers, disabled, PVTGs, bonded labour, victims of sexual offences

BENEFITS AND IMPACT PYQ 2021 PYQ 2020

Benefits

→ financial inclusion: savings, credit, insurance
→ **social capital replaces physical collateral**
→ **capability approach** (not dole, not rights): builds capacity and autonomy of choice
→ social and economic transformation of women; status rises
→ political empowerment: Gram Sabha attendance, panchayat elections

Dole vs Due: dole = government gift (generosity, temporary). Due = legal right (employment, food security: RTS, FSA), the **Rights-Based Approach**. SHG is neither: it is the **capability approach**.

Impact	Fact
Number	over **10 million** SHGs
Credit	collateral-free loans of **Rs 87,098 crore** to **5 million** SHGs (by March 2019)
Poverty	less moneylender dependence; **protectional more than promotional**
Women	stronger in mature SHGs; limited effect on economic activity, skills; action on child marriage, child labour, liquor

ISSUES PYQ 2014 PYQ 2013

Issues

→ **outreach:** better in the South (joint Andhra, Kerala); poorest left out

→ **restrictive bank policies:** SHGs wound up, members return to moneylenders (NABARD gives **100% refinance**)

→ **quality:** missed meetings, poor attendance and books; oversized groups; only leaders benefit; no leadership change; government interference

→ no new ventures; state competition; thin studies; skill gaps

→ **NPAs:** Rs 423 crore (2007-08) → Rs 452 crore (2018-19); COVID risk

→ educated women benefit more: new inequality

Measures: government as **facilitator, not controller** (Grameen Bank) · expand in credit-poor regions (MP, Rajasthan, North-East; Kenya Chamas) · stronger banking, ICT (AP SERP model) · urban and peri-urban SHGs (Brazil Bolsa Familia).

SUCCESS STORIES

SHG story	Detail
Kudumbashree (Kerala, 1997)	"Prosperity of the Family": neighbourhood groups → **ADS** (ward) → **CDS** (panchayat/block); ~3 lakh groups, 19,500 ADS, 1,064 CDS, 46 lakh women
Grihalakshmi SHG	West Singhbhum, Jharkhand; national award 2018; child labour
Didi ki Rasoi	Bihar; community canteen; began with hospitals
Pangi Hills brand	Himachal tribal area; honey, black cumin, walnuts; Rs 2-2.5 lakh a year
COVID	masks, sanitisers, quarantine care; Kudumbashree countered fake news on WhatsApp; digitisation push

Recall drill: cover and answer

SHG ideal size	10-20 women
SHG-BLP started	NABARD, 1992
Deposit-to-credit ratio	1:4
JLG introduced	NABARD, 2005-06
Kudumbashree started	Kerala, 1997

PRESSURE GROUPS & LOBBYING

PYQ Mains 2026 · 2025 · 2021 · 2019 · 2017 · 2013 · Handout CS pp. 17–26

✎ *A pressure group influences government policy without trying to become the government. India has many types: social, professional, institutional, ad hoc and anomie. Learn techniques, problems and a few recent examples.*

Pressure group: association with common interests that tries to ***influence government without placing its members in government***; non-partisan; no party programme; no election candidates. ***Finer:*** "anonymous empire". ***R.D. Lambert:*** "unofficial government". ***Alan R. Ball:*** part of the political process; wants to change policy, not become government. ***Truman:*** group theory (shared attitudes → claims).

Genesis

→ industrial revolution, trusts, tariffs
→ new needs with technology and agriculture
→ welfare state: more state power to influence
→ dominant want help to grow; weak want basic needs
→ ***freedom of association***
→ gaps in political parties' articulation

FEATURES AND INTEREST GROUPS

Features

→ based on social, economic, religious, vocational interests
→ vary in size; vitality = ability to influence
→ modern and old means; party financing, sponsoring candidates
→ change allegiance quickly; appear and vanish
→ collective voice stronger than individual

Pressure vs interest group

→ ***interest group:*** shared interests, no aim to pressure government
→ ***pressure group:*** regular interface to win favourable policy
→ a group can ***morph*** from interest to pressure group; terms often used interchangeably
→ inevitable in a democracy

Pressure groups vs political parties: groups do not contest elections; smaller social base; parties contest and have larger base.

TYPES PYQ 2013

Type	Example
Social or identity-based	service: Singh Sabha; political: RSS, VHP, AISSF
Associational / professional	peasants, trade unions, business bodies; Bar Council, IMA
Institutional (inside government)	IAS lobby, IPS lobby
Ad hoc	India Against Corruption (Lokpal movement); dissolves when issue ends
Anomie	spontaneous, often violent outbursts from despair; RRB exam protests (Gaya, Patna), MAGA, anti-vaxxers (USA)

SAIAA — Five types: **S**ocial · **A**ssociational · **I**nstitutional · **A**d hoc · **A**nomie. (own mnemonic)

RECENT EXAMPLES (as given in the handout; verify dates)

Group	Role and example
Farmers	MSP, prices, debt relief: **Samyukt Kisan Morcha 2020-21** against three farm laws, **repealed in 2021**; SKM (Non-Political) and KMM **Dilli Chalo 2024**, legal MSP on **C2+50%**
Youth / Gen Z	paper leaks, unemployment: Cockroach Janta Party 2026
Trade unions	central unions' strike 2025 (wages, Four Labour Codes); Noida workers April 2026, UP raised minimum wage ~21%
Environment	Save Aarey 2019-22; Hasdeo Arand Bachao 2024
Professional	IMA protests 2024 after RG Kar incident; demand for a Central Protection Act
Gig workers	December 2025 strikes against 10-minute delivery targets; IFAT

In the news · handout (verify) Gen Z protests (2026) by the Cockroach Janta Party over exam irregularities; the handout links them to the Education Minister's July 2026 resignation. Unverified by me.

WESTERN vs INDIAN

Differences

→ Western: "fourth organ"; Indian groups still minor in politics
→ India and Britain: target **cabinet and civil service**; USA: Congress and committees
→ Indian groups on caste, religion, region beat business bodies
→ US groups engage in foreign policy; Indian groups do not

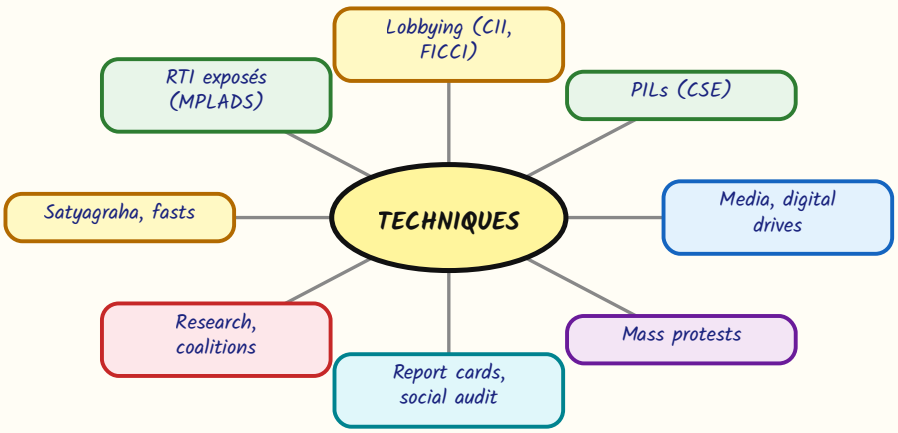
SIGNIFICANCE

Significance

→ channel between citizens and government; wider participation (distrust of parties)
→ political socialisation; data for policy (FICCI, ASSOCHAM, CII)
→ counterbalance: no dominant force
→ informal face of politics; keep democracy alive between elections
→ "legislatures behind legislatures"; reservoir of leaders (Kejriwal from the Lokpal movement)
→ check arbitrary power (farm laws); safety valve; consensus building

TECHNIQUES, LOBBYING, BEST PRACTICES

EIGHT WAYS TO PRESSURE



Best practices: PAC report card, Bangalore · NCPRI and the RTI Act · #SaveAarey (2019) · CEHAT health advocacy · Anna Hazare's Jan Lokpal movement (2011).

Lobbying: named for business leaders in US Congress lobbies; formal contact with officials and ministers for favourable policy. ***In India, neither legal nor illegal.*** Problems: ***paid lobbyists*** (Nira Radia; Deepak Talwar), ***legislators as lobbyists*** (H.G. Mudgal disqualified from the provisional Parliament, Bombay Bullion Organisation), ***bureaucrats*** (serving or retired) tweaking rules. ***Santhanam Committee 1962:*** accredit lobbyists; no civil servant should meet business representatives unless accredited.

Business associations (FICCI, ASSOCHAM, CII): lobbying, electoral-bond donations, critique of policy, studies, workshops, technical input, advisory panels, consensus building, links with WTO-like bodies.

PROBLEMS AND EFFECTIVENESS

Problems

- → disproportionate influence: caste, unions, business after 1991
- → subversion of institutions; unorganised interests neglected
- → extra-legal methods: bandh, hartal, rail roko, chakka jam
- → divisive; block progress (Khap Panchayats and honour killings)
- → opaque internal working

Khap Panchayats: SC ***2011***: those sanctioning honour killing should be banned (UAPA) and neglecting officers penalised; SC/ST Atrocities Act 1989 can apply; thrive on weak local bodies, poor justice system, political patronage. IPC Sec 302 is enough if enforced.

Effectiveness depends on: sectional (RSS, Khaps, caste associations: more effective) vs promotional (human rights, PETA) · funding · political branding · membership · government reliance on them (Make in India needs business bodies).

Way forward: legal recognition and registration (US and UK lobbying laws) · code of ethics and funding disclosure · consultative role in committees and policy dialogues · MyGov for structured feedback.

Recall drill: cover and answer

Five types	social, associational, institutional, ad hoc, anomie
Groups vs parties	groups do not contest elections
Lobbying in India	neither legal nor illegal
Santhanam 1962 on lobbyists	accredit them
Khap ruling	SC 2011: ban honour-killing sanction

⚖ COMPTROLLER & AUDITOR GENERAL (CAG) ⚖

PYQ Mains 2018 (appointment, terms, powers) · 2016 (Art 149; policy audit) · Handout CAG pp. 2–7

✎ *The CAG audits the spending of Union, States and bodies funded by the government, and reports to Parliament. India's CAG audits after the money is spent; the UK CAG also controls release of funds.*

Ambedkar: "the most important office under the Constitution"; one of **4 pillars** with SC, UPSC and Election Commission. **Art 148** creates the office. Service conditions broadly like a **Supreme Court judge**.

Point	Fact
Tenure	**6 years or 65**, whichever is earlier, under the **CAG (Duties, Powers and Conditions of Service) Act, 1971**; changing it needs an amendment to the Act, not the Constitution
After office	**Art 148(4):** ineligible for further government office (Union or State)
Duties	**Art 149** read with the 1971 Act (an **Act**, enacted by Parliament)
Accounts form	advises President (**Art 150**)
Net proceeds	certifies shared Union–State proceeds (**Art 279**)

FUNCTIONS

Audit and report on

→ ***expenditure*** from Consolidated Fund, Public Account, Contingency Fund (Union, States, UTs with legislature)
→ ***trading, manufacturing, profit and loss accounts*** (e.g. Railways, Posts)
→ ***receipts*** (to check revenue assessment and collection)
→ ***stocks and stores*** (no pilferage)
→ bodies ***substantially financed***; others if the President or Governor requests; ***PSUs***
→ also: assists the Finance Commission; audits ***Autonomous District Councils*** (Sixth Schedule)

CARSE — Audit-on: **C**onsolidated and other funds · **A**ccounts (trading, P&L) · **R**eceipts · **S**tores · **E**ntities financed (bodies, PSUs). (own mnemonic)

PSU AUDIT AND ACCOUNTS

PSU type	CAG audit
Statutory corporations (LIC, FCI, RBI)	full, partial or none, depending on the law
Government companies (51%+ government)	private auditors appointed in consultation with CAG; CAG may do ***supplementary audit***

Performance audit: through the ***Audit Board (1968)*** where applicable. ***1976 Departmentalisation of Accounts:*** compiling of Union accounts moved to ministries; created ***ICAS*** and the ***Controller General of Accounts*** under Finance Ministry. Today CAG ***audits*** Union accounts but still does accounts and audit for most States.

ISSUES IN WORKING PYQ 2018

Appointment

→ ***no broad-based committee*** (unlike NHRC, CVC, ICs); fully at central government's discretion
→ UK: House of Commons resolution after PM and PAC chair agree
→ USA: President, ratified by Senate
→ Australia: whole PAC ratifies
→ demand: committee of ***PM, LoP and CJI*** for CAG, UPSC, EC (INTOSAI/ASOSAI spirit)

Who is appointed

→ among ***14*** CAGs only the first three were from IAAS; ***10*** of the other 11 were retired IAS
→ harms IAAS morale; conflict of interest; post-retirement incentive politicises services
→ demand: ***encadre*** the post for IAAS
→ ***Narhari Rao*** first CAG; ***K. Sanjay Murthy*** present (as per handout, verify)

Single or multi-member? The real problem is understaffing, not single-member form: of ***250,000*** auditable entities only about ***60,000*** are effectively audited a year. UK and USA also have single-member CAGs with heavier loads.

TYPES OF AUDIT

Audit	Question it asks
Compliance (legality)	spent per law? money legally available? authorised by Parliament?
Financial	proper books; do entries faithfully reflect transactions?
Performance (efficiency)	schools set up for the money; standards; ***reports, does not evaluate reasons***
Propriety	wisdom and faithfulness of spending; e.g. 2G spectrum on first-come-first-served, Rs 1.76 lakh crore presumptive loss (Vinod Rai)

CFPP — Four audits: **C**ompliance · **F**inancial · **P**erformance · **P**ropriety. Sec 23 of the 1971 Act lets CAG define audit scope. (own mnemonic)

Against propriety audit: hindsight · auditors lack administrative experience · red tape: officials sit on files · slows development. ***Paul Appleby*** (1950s) even urged abolishing the CAG.

For: more than tallying; duty, not just right, to expose prima facie fraud; aim is better financial governance, not fault-finding; best way to expose scams. ***Fix:*** stronger internal audit and prompt replies to audit queries.

2G case: 2008 licences on FCFS; CAG: up to Rs 1.76 lakh crore loss; ***SC 2012*** quashed ***122*** licences, ordered auctions; later auction raised about ***Rs 9,400 crore***. CAG normally examines implementation, but may question policy when it involves irregularity, waste or loss to the exchequer PYQ 2016

COMPTROLLER vs AUDITOR; PPPs; LOCAL BODIES

	UK	India
Comptroller (pre-expenditure control over release of funds)	performed	***not*** performed
Auditor (post-expenditure)	yes	yes (primary role)

PPPs

→ PPP and BOT: private builds, operates, tolls, transfers; ***VGF*** supports viable but unprofitable projects (2020 scheme covers social infrastructure)

→ public assets, concessions, revenue sharing: audit may fall in CAG purview depending on law and contract

→ ***AUSPI v Union of India (2014)*:** SC upheld CAG's authority to examine private telecom operators' accounts for AGR revenue sharing

Local bodies*:** CAG gives broad supervision and guidelines in some states but does not audit them as such; states accept this mainly to get ***Finance Commission conditional grants.

WHY CAG IS WEAK: THE FAMOUS QUOTE

"CAG is a ..."	*Meaning*
prosecutor with a law that hobbles him	law does not name the audits; no power to demand documents; no action against officials ignoring queries
judge without power to sentence	only reports to Parliament; action is government's choice
litigant without right to appeal	cannot challenge if Parliament, PAC and government ignore the report

Effectiveness depends on*:** (1) ***evaluation of reports by Parliament and PAC; in UK and USA CAG is part of the legislature, in India independent of both; (2) ***quality of reports*:** INTOSAI peer review; first peer review of India's CAG in ***2012*** found about ***50%*** of irregularity allegations lacked concrete evidence.

Recall drill: cover and answer

CAG article; tenure	Art 148; 6 years or 65
Governing Act	CAG (DPC) Act, 1971
Comptroller function	UK yes; India no
CAGs from IAAS	first 3 of 14
Peer review 2012 finding	~50% allegations lacked evidence